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Summer 2005
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The POLITIC

The Yale College Journal of Politics

NEW VISIONS
DEVELOPMENT IN THE 21ST CENTURY

FEATURING: JOHN C. DANFORTH and PAUL APPLEGARTH

thank you

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Managing Editors
Pascal Noel
Joshua Boehm

Layout Director
Bradley Gallagher

National Editor
Derrick Sutter

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Wells O'Byrne

International Editor
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Opinions Editor
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The Politic
P.O. Box 201452
New Haven, CT 06520-1452
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Summer 2005

Dear Reader,

Everyone has undoubtedly seen images of global poverty on the evening news: emaciated bodies, sullen faces, expressions that seem to have abandoned all hope for a better tomorrow. Names like Darfur float around the pages of the *New York Times*, reminding us of yet another humanitarian atrocity that has left hundreds of thousands either dead or in severe need of assistance. A friend's photos momentarily illuminate the rugged life of the impoverished people of backcountry South America. But can a student at Yale truly understand the problems facing the majority of global citizens – or more importantly, how to solve them?

In this issue of *The Politic*, we hope to bring a small piece of the international development debate to our readership. We focus on New Visions, innovative approaches to fighting world poverty that haven't received ample coverage in the mainstream media. To begin, we feature Paul Applegarth, CEO of the Millennium Challenge Corporation. President Bush established this organization in 2004 as a means to deliver aid to needy countries that demonstrate a commitment to self-improvement. Alvin Lee, a Yale senior, then provides a critique of this initiative, while Yale graduate Diego Panama explains how entrepreneurship can help sustain development. This is followed by a policy-paper by Ted Fertik and Melisse Morris, both from the Roosevelt Institution, Yale's undergraduate progressive think-tank. Finally, Cato Institute scholar Ian Vásquez criticizes the role of international institutions such as the IMF and World Bank.

Former Senator and U.N. Ambassador John C. Danforth headlines the National section, speaking on religion, the United Nations, and the state of American politics in an exclusive interview with *The Politic*. Author Douglas Farah follows with his thoughts on security policy. To close this section, Yale sophomore Sören Südhof writes on the importance of clean elections in the context of campaign finance reform.

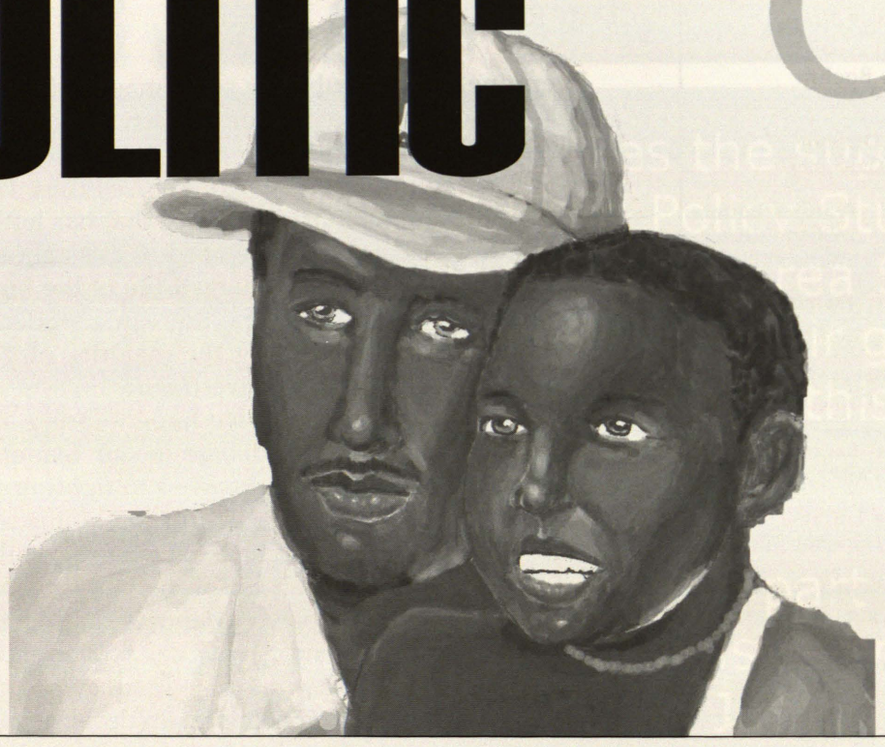
In the International section, Professor Michael Doran of Princeton shares his expertise on democratic reform in the Middle East. Next, Yale graduate student Harris Mylonas offers an interesting perspective on the role of Rousseau in modern political commentary and Clyde Prestowitz, President of the Economic Strategy Institute, provides an excerpt out of his soon-to-be-released book regarding the growing role of China and India in the world economy.

Four Yale undergraduates – Keith Urbahn, Brett Edkins, James Kirchick, and Trevor Swett – round out this issue of *The Politic*, bringing their viewpoints to the forefront of campus political debate.

On behalf of the *The Politic* staff, I want to thank you for your continued support. I hope that you will enjoy this issue wherever your summer plans may take you, and that you will learn from the words of our stellar contributors. We look forward to another thought-provoking release in the fall!

Jason Davis
Editor-in-Chief

The POLITIC



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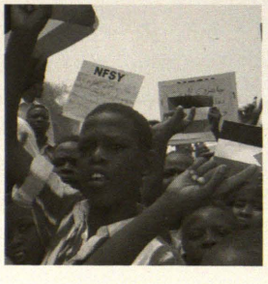

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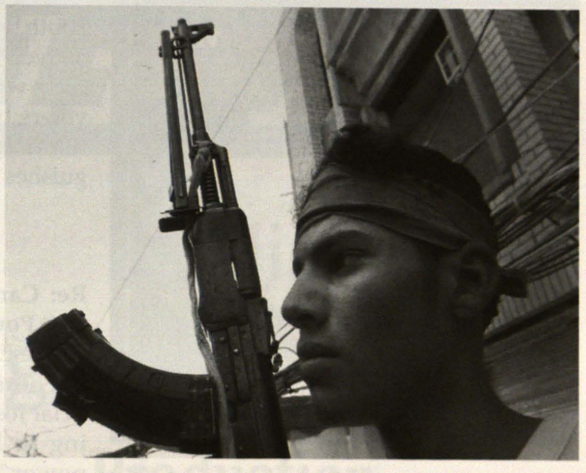

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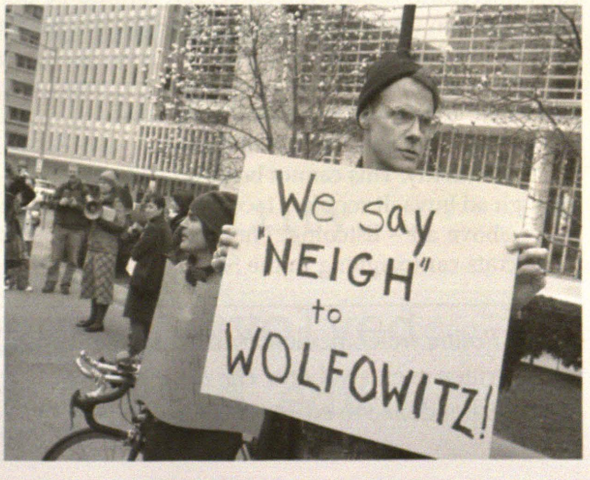

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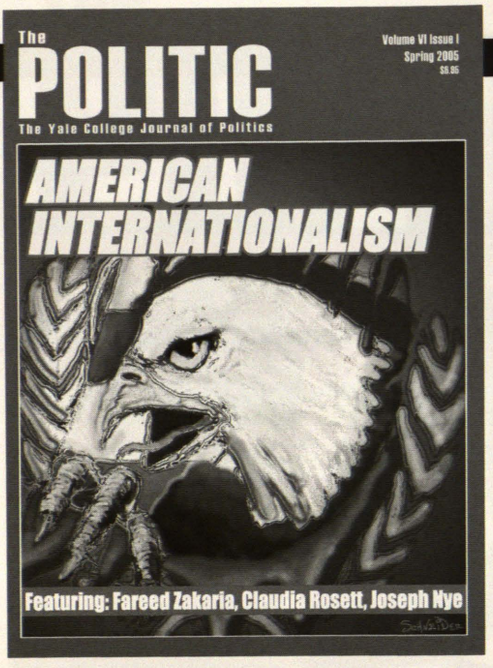

Re: Watch Virginia
To the Editor:

As John Coggins points out, the Democratic Party has not yet lost the south entirely. Although John Kerry and Al Gore performed dismally in red states, Democrats like Mark Warner and Mary Landrieu continue to win in areas considered staunchly conservative. To copy their success, national candidates must copy their model.

First, national Democrats must emphasize pocketbook issues above all else. When Southern voters understand that their children's crumbling schools are a result of Republican tax policy, when they understand that the factory down the road closed because of Republican trade policy, then Democrats will win. Mary Landrieu and other successful southern Democrats have not been afraid to make this attack; national Democrats often are.

Second, Democrats must understand that voters will abandon ideology if they find a candidate likeable and trustworthy. This cannot be done through ad buys. It requires face time and – above all – listening. National Democrats campaigning in the South would do well to hold informal town meetings rather than Kerry-style photo ops.

Democrats will not win the South by becoming more conservative. As Coggins writes, Democrats will only win the trust of voters by emphasizing the economic populism that distinguishes them from Republicans.

Abe Koogler
Branford College '06

Re: Can American Regain Its Soft Power After Abu Ghraib?
To the Editor:

Former state department official Joseph Nye, Jr. is convincing in his emphasis on "soft power" as the most efficient way for the United States to achieve its strategic objectives in the world. The Abu Ghraib incidents and photos were certainly damaging to America's credibility and her ability to wield soft power. The lack of accountability from Defense Secretary Rumsfeld has not helped to restore this credibility. After an incident of such magnitude, responsibility needs to be accepted from the very top echelons.

Nye is also correct that this incident is only one part of a larger pattern of perceived American unilateralism and superpower arrogance. A greater effort needs to be made on the part of the Bush administration for multilateralism. Nye's point on public spending on international broadcasting is valid, but would be perceived as empty propaganda if it is not in conjunction with real progress and solutions in our commitments abroad.

Sam Paris
Pierson College '06

Re: Sovereignty vs. Multilateralism
To the Editor:

Regarding the article by Kyle LeCroy on Nuclear Arms Proliferation in North Korea, I would like to point to a few facts. First, the current American regime has clearly shown its capacity to overturn von Gentz's notion of equal sovereignty with the war in Iraq. Regardless of Bush's ulterior motives, the two ostensible reasons for armed intervention in Iraq are human rights violations and weapons of mass destruction. Should there be a war in North Korea, the American government would provide similar reasons as causes for intervention. The justification for armed conflict would be even more compelling than that for Iraq, as North Korea has openly admitted to its capability for nuclear arms production. As seen in March 2003, threat of any sort of armed conflict may still be a last option, but it is seems to be a more viable option than the author believes.

Second, states have pursued reconciliatory diplomacy with North Korea since the early- to mid-90s, with marginal end results. South Korea, in particular, has switched stances with a bevy of economic aid packages, cultural exchanges and transnational tourism in the 90s, culminating in the awarding of the Nobel Peace Prize to President Kim Dae-jung of South Korea for his 'Sunshine Policy' in 2000.

North Korea has not followed the steps of Libya at the show of American military might; instead of disavowing its pursuit of WMD production, North Korea admitted to it. Clearly North Korea has not attained its security through conciliatory diplomacy; rather than sacrificing power, they seem to be accruing it for added security. They have decided that the diplomatic, economic and military ramifications of nuclear arms production do not counterbalance the security gained through owning weapons of mass destruction.

Koonho Cho
Silliman College '06

The Politic welcomes letters to the editors, article submissions, and any and all comments. All articles must be written exclusively for *The Politic*. *The Politic* reserves the right to edit all submissions. Please direct all correspondence to **editor@thepolitic.org** or *The Politic*, P.O. Box 201452, New Haven, CT 06520-1452.

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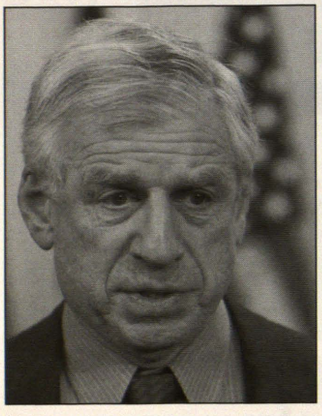
THE WORDS OF A STATESMAN

An Interview with John C. Danforth



John C. Danforth, a three-term U.S. Senator from Missouri, former Ambassador to the United Nations, and ordained Episcopal minister, has dedicated his life to public service. A 1963 graduate of Yale Law School, Mr. Danforth spoke with *The Politic* about the United Nations, humanitarian crises, and the role of religion in our political system.

You left a United Nations that was awash in controversy. Many on the right are calling for Kofi Annan's resignation over the oil-for-food scandal and his outspoken criticism of the U.S.-led Iraq war. As the outgoing U.S. ambassador to the U.N., what are your thoughts on Kofi Annan, and to what degree should he be held accountable for this egregious scandal?

Well first, let's wait and see how egregious this scandal is. I think that Paul Volcker has set out a preliminary report, and I don't think he's reached final conclusions. I think that some of the news stories of a few months ago made it out to be a much bigger scandal than it turned out to be, but it is a scandal though, and it's bad.

I have not heard anybody, including Paul Volcker, suggest that Kofi Annan is personally culpable, and there has been a concern expressed by Volcker that Annan was not sufficiently attentive to the appearance of a conflict because of his son's involvement, but I have not heard any suggestions that Kofi Annan himself is corrupt. I think he is a good secretary general, and I certainly wouldn't want to sack him just because he didn't agree with the United States.

What do you think of Kofi Annan's reform plan for the U.N.? Do you think it has a chance of making it through the general assembly?

First of all, he wants to expand the Security Council. The position of the U.S. has been "well, it's worth considering, but the more important question is what will make the Security Council more effective than it is now." It's very difficult to get consensus by members of the Security Council, and in order to pass a resolution you cannot have a negative vote from one of the five permanent members and you need nine votes, and that means that the resolutions are watered-down in order to get the requisite number of votes and not get a veto. For example, when we passed a resolution that called for Syria to withdraw from Lebanon, we could get the resolution passed with the minimum number of votes provided that we didn't use the word "Syria." So the nature of Security Council resolutions now is that they are weak, and I am not sure how expanding the number of members of the Security Council is going to make the Security Council more effective. In other words, will it be harder to get a consensus? I mean, are these countries going to have the veto power or not? If they did, it would probably be impossible to have serious resolutions. I can understand the desirability of having additional members, I can understand the desirability of making sure that parts of the world are adequately represented on the Security Council, but I'm just wondering if it's going to become not just difficult but virtually impossible to have meaningful resolutions.

So do you think that in order to really reform the U.N. and make it effective, we have to address the issue of the veto power on the Security Council?

Each of the five permanent members on the Security Council will insist on retaining the veto power, so there is no possibility of getting rid of it. And the U.S. wouldn't want to get rid of it; we want to retain it, we've used it. If the veto power is extended from five to eight, for example, I think it will be even more difficult to get things done in the Security Council. But personally, I don't think that's going to happen. I don't think the veto power is going to be extended to anybody else.

It's just difficult. The Security Council is the only part of the United Nations that has real power and it's very hard to get resolutions passed. But maybe that's the way it should be. That's an argument: maybe we don't want a U.N. that passes strong resolutions because we may not agree with them.

Despite the efforts of the U.S. and many of its allies, tens of thousands continue to die each month in the Darfur region of Sudan. Does the recent U.N. resolution pledging to refer war crimes suspects to the ICC mark a significant step forward in ending the crisis?

It's important to not have people engaged in these terrible humanitarian abuses get off scot-free, and it's essential to bring them to justice. These are important components to fixing the situation in Darfur and in Sudan.

What effect, if any, will the peace deal between the north and south in Sudan have on the conflict in Darfur?

Everybody thought that it was important, and I still do. I think that there is some momentum given for Darfur by virtue of the fact that there was a North-South peace agreement. Also I think that it's helpful to engage John Garang and the SPLM (the Southern rebel group) on the issue of Darfur in trying to find a solution there, so I think that it is a very important step.

Considering the present circumstances and your experiences over the past six months at the U.N., what do you think is the best option to pursue in order to bring stability to this war-torn region?

The key to Darfur is more of an international presence; that is, increasing the number of troops that are there. To expand the AU (African Union) presence, to expand the United Nations presence, to expand the number of humanitarian workers, to have more people there monitoring the situation in Darfur—basically, more outsiders there. That to me is the most important single step.

The United Nations recently voted to send 10,000 peacekeepers to the southern region of Sudan. Why can't they do that for Darfur in the west?

I have not seen the resolution, but my understanding is that some fraction of the 10,000 would be in Darfur, though I'm not quite sure about that. It's very important to do it. One of the issues has

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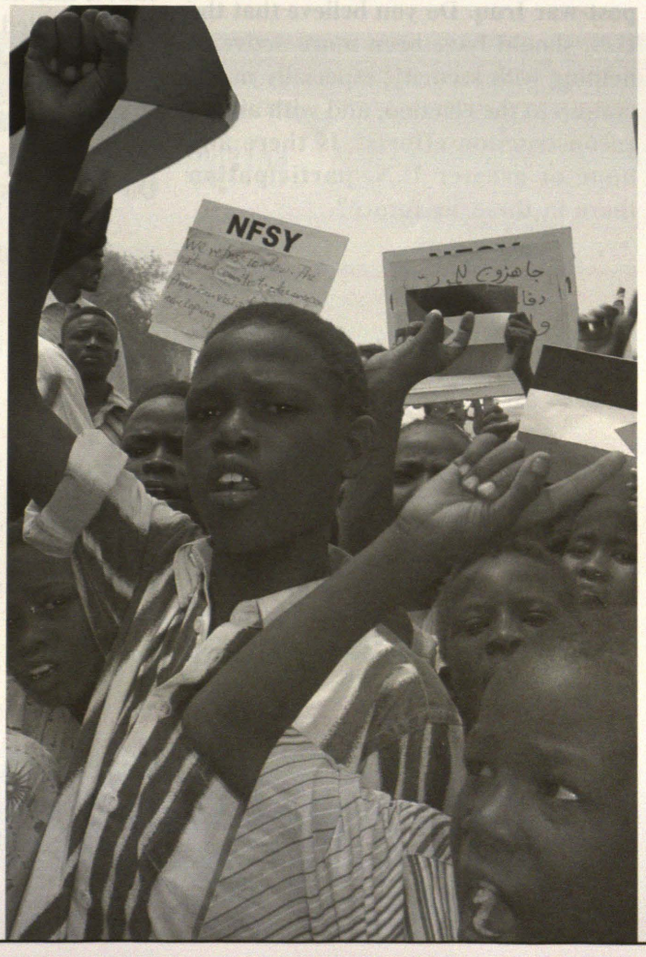


Atypical War Protest: *Sudanese students protest against a U.N. resolution referring individuals accused of war crimes in Darfur to the International Criminal Court. Danforth holds the belief that a stronger international presence will facilitate the African Union's peacekeeping mission. (SALAH OMAR/AFP/Getty Images)*

been always that the African Union has already signed on, and since they have signed on there has been some concern that when everybody else goes into Darfur it tends to shove the African Union aside. I don't hold that view myself, but I know that others have expressed that.

Do you believe that the U.S. and the international community should do more in helping out the African Union with logistics, financing, and their peacekeeping mission?

The key to Darfur is to expand the international presence. Insofar as that's an African Union presence, it's very important to have very good logistics and to get people actually on the scene, and these were slow going. The United States has been very forthcoming and has pledged support and followed through on its pledges. Other countries have been slower moving.

Evaluate the United Nation's role in post-war Iraq. Do you believe that the U.N. should have been more active in helping with security, especially in the run-up to the election, and with aiding reconstruction efforts? Is there any hope of greater U.N. participation there in the near future?

I think that it was very difficult to get the United Nations involved in any way in Iraq, even with respect to the elections. It was a minimal engagement, and it was a constant struggle for the U.S. and the British to try to encourage the U.N. to have a bigger role in Iraq. I think this is one of the problems; everybody says we should not be unilateralist and of course we should not be unilateralist. We should try our best to work in concert with the rest of the world or with as many countries as possible, but what happens if the rest of the world doesn't want to participate? What happens if there is zero tolerance in countries like the Philippines and Spain, if there is zero tolerance for any loss? In that instance, how can we act in a multilateral way without completely compromising our mission and convictions?

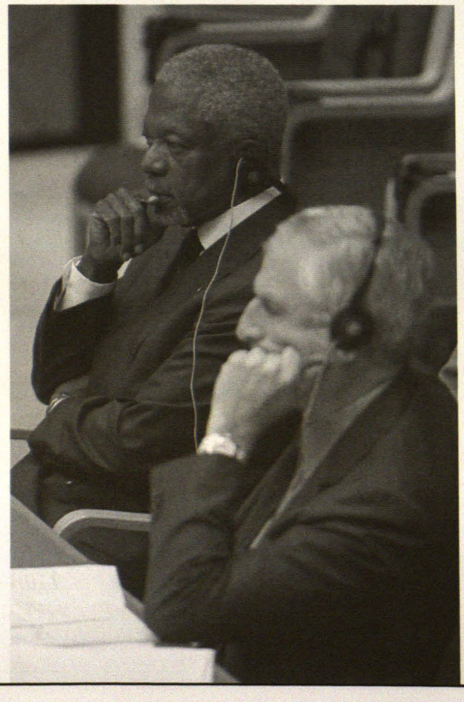
John Bolton, the man who is slated to take over your position as ambassador, has been an outspoken critic of the United Nations and is characterized by many as a staunch unilateralist. How do you think Mr. Bolton will fare at the U.N. considering that he is such a divisive figure? Do you think he'll be confirmed?

Well, I met John Bolton once, and spent maybe fifteen minutes with him, so I don't really know him other than that one short meeting. I think that the United Nations is very important, and a forum for the U.S. both to advance its own policies and to listen to how its policies are playing with the rest of the world. So I think that it's important for the United States to participate in the U.N. in a constructive way and to be a good listener. I don't have any doubt that John Bolton will be confirmed—I'm almost certain that he will be.

If you had to offer Mr. Bolton one piece of advice going into the job, what would it be?

Try to establish a good personal relationship with other permanent

"I think there is problem if a political party becomes identified as the arm of one particular religious group, and I believe that's happened to the Republican Party. "



***Advising the Future**: U.N. Secretary General Kofi Annan and U.S. ambassador to the U.N. John Danforth listen during a special session of the United Nations Security Council regarding Sudan's civil war. Danforth offers precious advice to future ambassadors to the U.N. – establish a strong personal relationship with other permanent representatives and members of the Security Council. (SIMON MAINA/ AFP/Getty Images)*

representatives and especially members of the Security Council.

In a recent (March 30th) Op-Ed piece in the New York Times, you argued that the Republican Party has been hijacked by the Christian Right, and as a result has lost sight of its core values. As an Episcopal minister, what place do you believe religion has in politics?

Well I think that everybody who participates in politics, or really any other activity, brings to that activity the totality of who the person is. So since people who are religious bring that to the various endeavors of their lives, they bring it to politics, and I think that's to be expected and I think that's fine.

I think there is problem if a political party becomes identified as the arm of one particular religious group, and I believe that's happened to the Republican Party. It makes the Republican Party too much of an extension of the conservative Christians, and it makes it too much of a divisive party.

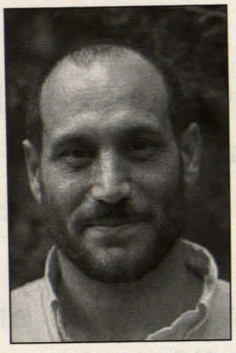
How has your own faith affected your political career?

Well I'm sure that it has. I mean, you don't check your faith at the door and say "well this is Sundays only." It's part of your life and it relates to all you do and what you bring to a job, and when I was in public life, I was in public life as a whole person with all that made up my person, and that certainly included my religious faith.

But when I was doing it, it was very important for me to try to be a unifying rather than a divisive person, and it was very important for me to make it clear that I was not serving in public life to try to put forward one particular religious agenda. I believe that that also is what the Republican Party should do, since it is not particular sectarian point of view. P

"You don't check your faith at the door and say 'well this is Sundays only.' It's part of your life and it relates to all you."

Aid Parade: *Sudanese displaced families receive food aid from the World Food Program in Sudan's Darfur region. U.S. President George W. Bush applauded both the government of Sudan and the rebel movement for ending the civil war, but reminded Khartoum that fighting must end in Darfur. (JOSE CENDON/AFP/Getty Images)*



FAILED STATES AND HOMELAND SECURITY

Lessons from Liberia, al Qaeda, and the Diamond Trade

by Douglas Farah

At a time when state control is diminishing or nonexistent in growing swaths of the world, failed or "soft" states and non-state armed groups pose a little understood but important threat and direct security challenge to the United States and other nations. This was true before the tragic events of 9-11 brought the threat of terrorism inside the United States in new and powerful ways. And it remains true more than three years later, as the trend toward the lessening of state control continues.

Non-state actors can be roughly divided into four types that merge and overlap: insurgencies, engaged in a protracted political and military struggle aimed at weakening or destroying the power and legitimacy of a ruling government; terrorism, the deliberate use of fear through the threat or use of proscribed kinds of violence for political purposes; militias, recognizable irregular armed forces operating within an ungoverned area or a weak or failing state; and international criminal organizations, internally cohesive groups that engage in one or more types of criminal enterprise and operate across regions and national borders. While intelligence reform is now the subject of major debates in Congress, little is being discussed that would enhance the intelligence community's ability to deal with these threats, either analytically or operationally. This is due in part to the culture within the intelligence community that retains its Cold War roots and remains largely focused on state and state-sponsored threats.

A related threat that often overlaps with these non-state groups is that of states that remain states only in name. Through corruption and a desire to obtain wealth, often from natural resources, the state itself becomes a functioning criminal enterprise. In these cases the state, while receiving many of the international benefits of being a state (the ability to issue recognized diplomatic passports; maintain shipping and airplane registries; control border entry and exit points; and collect taxes), plays host to, and participates with, a variety of non-state actors to achieve its goals. This model of a criminal state allied with, using, and being used by non-state armed groups must be understood if a primary security challenge of the modern age is to be met.

In this context, the case of Liberia under former president Charles Taylor is illustrative. Not only did he allow all four types of non-state actors to use Liberian territory, he amassed a personal fortune and maximized the use formal state power for his own use and the benefit of those organizations. Under his patronage, international arms dealers fueling not only the wars in Africa but aiding the Taliban and al Qaeda operated alongside al Qaeda operatives, Israeli mercenaries, Hezbollah diamond merchants, Russian and Balkan organized crime figures and South African mercenaries. Because he controlled the borders, he was able to guarantee that even wanted criminals could enter and exit with impunity, and could issue diplomatic passports to help ensure their impunity. The state infrastructure was available to those who could pay for their use. What attracted outside involvement in Liberia was not only the use of the state infrastructure, but Taylor's ability to guarantee access to one particular commodity—diamonds. To gain control of the diamond fields, which are particularly attractive because they are alluvial and require very little investment in order to exploit, Taylor launched two bloody civil wars. The first was in Liberia, and the second was in neighboring Sierra Leone, with even richer diamond fields. Both wars were marked by a devastating level of brutality, including ritual executions, the abduction of thousands of children who were

***Douglas Farah**, author of* Blood from Stones: The Secret Financial Network of Terror, *is a consultant and freelance writer on terror finance and national security matters. Previously, he covered Latin America and West Africa as a foreign correspondent for the* Washington Post *and served as Senior Fellow at the Consortium for the Study of Intelligence.*

drugged and taught how to kill, and the widespread use of rape as a weapon of terror and control. In Sierra Leone, the signature atrocity of the Revolutionary United Front (RUF), Taylor's proxy army, was the amputation of the arms, legs and ears of civilians, including children as young as two years old.

The fact that the U.S. intelligence community had no agents on the ground developing human intelligence or studying the different networks explains why the threat was not understood. It also helps explain why, when the first revelations of Taylor's ties to al Qaeda and other terrorist organizations were made publicly, the intelligence community dismissed them out of hand.

Al Qaeda did not stumble blindly into Liberia in the hopes of acquiring diamonds. Its operatives used their contacts in the region, including Ibrahim Bah, a Senegalese soldier of fortune who fought with the *mujahdeen* in Afghanistan in the mid-1980s. Since Taylor controlled Liberian immigration, the al Qaeda operatives were able to come and go unhindered. They were allowed to rent a house in Monrovia and travel across the country.

The picture of al Qaeda operations in West Africa changed dramatically toward the end of 2000, when senior al Qaeda operatives arrived in Monrovia to take control of the diamond buying operations. They set up a monopoly arrangement for the purchase of diamonds through Taylor with the RUF. Then, al Qaeda buyers went on a spree that lasted several months. But here the intention was not to make money, but rather to buy the stones as a way of transferring value from other assets. This was in the months immediately prior to 9/11, when the terrorists were moving their money out of traceable financial structures into commodities in preparation for the aftermath of the attacks. They had already learned of the need to move money out of the formal, Western banking structure in the immediate aftermath of 1998 attacks on two U.S. embassies in East Africa. Shortly after those attacks the Clinton administration, seeking a way to punish the Taliban and al Qaeda, ordered a

Call for Help: *U.S. Marines with the Fleet Anti-terrorism Security Team (FAST) arrive in Lungi, Sierra Leone. This team assembled in Sierra Leone to provide personnel recovery and emergency evacuation capability for the Humanitarian Assistance Survey Team and FAST in Liberia. JUSTIN D. PYLE/ USAF/Getty Images)*

"This model of a criminal state allied with, using, and being used by non-state armed groups must be understood if a primary security challenge of the modern age is to be met."

freezing of these groups' assets. To the surprise of U.S. officials, the move netted some $240 million, mostly in the form of gold on deposit with the U.S. Federal Reserve.

Telephone records from the Antwerp-based diamond company acting as the agent show numerous calls to Afghanistan, Iraq, Syria and Iran during this period. The last recorded call to Afghanistan was placed Sept. 10, 2001. The available evidence, compiled by the Belgian police, points to al Qaeda purchasing some $20 million worth of RUF diamonds during the eight months prior to 9/11.

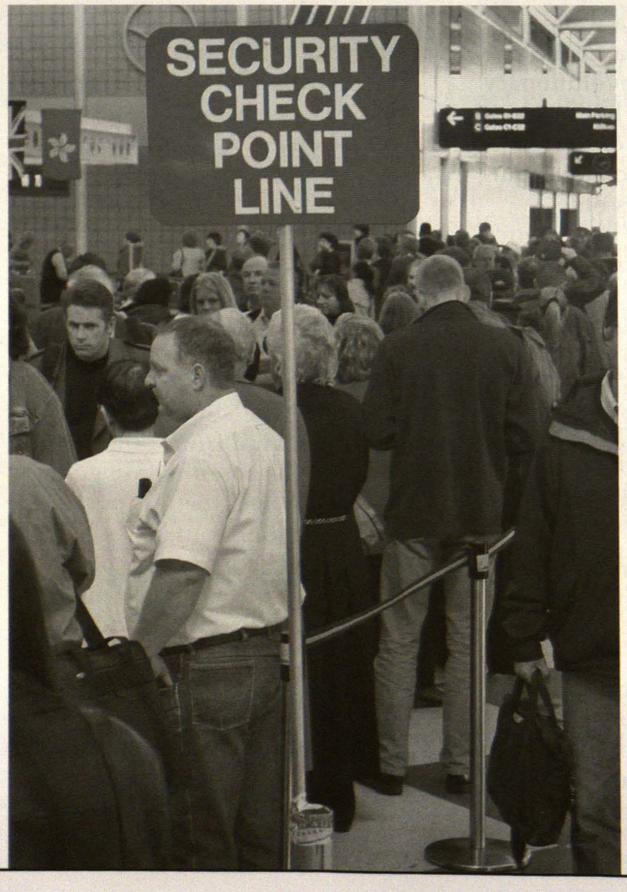
A combination of rebel forces and international pressure, along with the guarantee of gilded exile, forced Taylor to seek asylum in Nigeria in August 2003. But throughout most of his tenure—ruler of most of Liberia since 1992 and president since 1997—Taylor's massive criminal and terrorist ties went unstudied and given a low priority by the intelligence community.

Despite the continued denials by some in the intelligence community, the evidence of al Qaeda's presence in West Africa is conclusive. Not only my own work but the work of European intelligence groups, Global Witness and U.N.-backed Special Court for Sierra Leone have found, from multiple, independent sources, that at least six and perhaps eight senior al Qaeda operatives visited Liberia under Taylor's protection. At least two of these operatives, Fazul Abdullah Mohammed and Khalfan Ghailani, remained in West Africa for a substantial period after 9/11 and were targets for a possible snatch operation—never carried out—by U.S Special Forces. However, this evidence convinced many in the intelligence community that the al Qaeda presence in West Africa was real, and some in the intelligence community have become more outspoken in saying so.

There are several lessons that America and its intelligence operatives should learn from Taylor's regime because of the potential that a number of states in sub-Saharan Africa—and elsewhere in the world—might follow the Liberian model and give safe haven to terrorists and criminal groups.

One is that terrorist groups are sophisticated in their exploitation of "grey areas" where states are weak, corruption is rampant and the rule of law nonexistent. They have used areas like West Africa for many years to finance their activities, correctly betting that Western intelligence services did not have the capacity, resources or interest to track their activities there.

A second lesson is that terrorist groups in these areas learn from their own mistakes as well as each other. They are adaptable in ways that make them extremely hard to combat. Al Qaeda lost a large amount of cash following the 1998 Embassy bombings, and moved to correct that weakness before the 9/11 attacks. Hezbollah has



The Waiting Game: *Several hundred passengers at Chicago's O'Hare airport wait in line to pass through a security checkpoint. Lines to the checkpoint were sometimes over 500 passengers deep as security was tightened in response to Homeland Security needs. (SCOTT OLSON/AFP/Getty Images)*

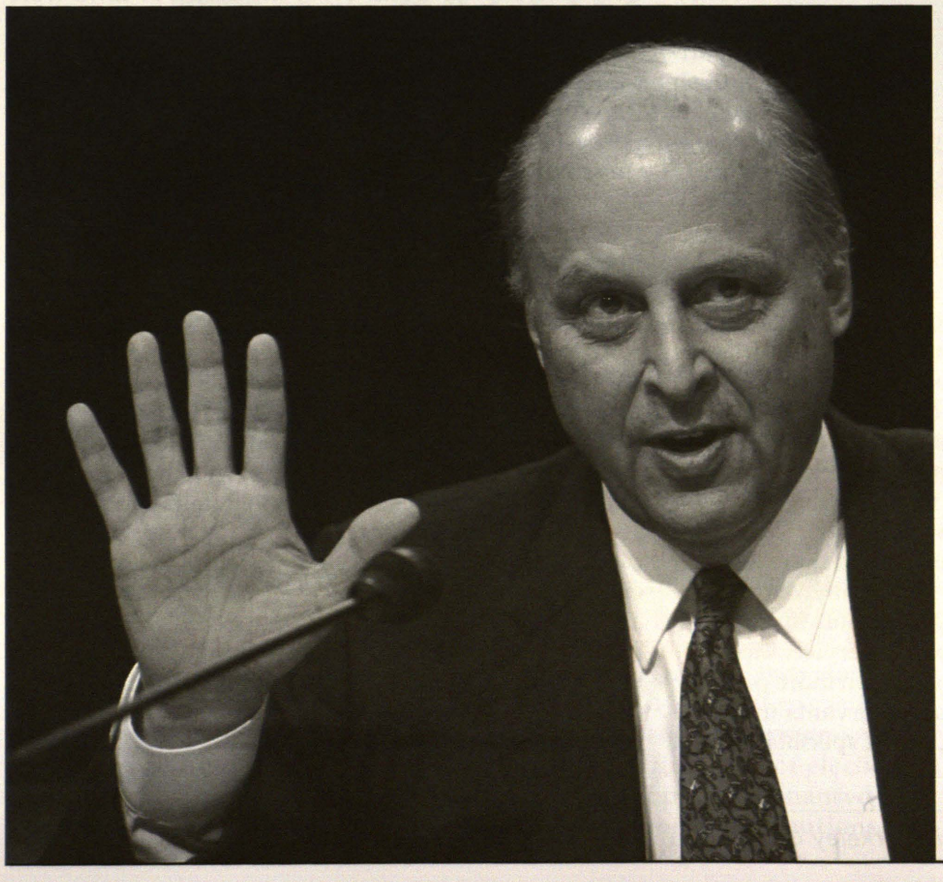
been using diamonds from West Africa to finance its activities for at least 20 years, perfecting smuggling routes to Europe and Lebanon, developing a network of middle-men and successfully embedding its financial structure within the diamond trade. Al Qaeda operatives plugged into the same network, showing that these groups can and do work together and learn from each other.

A third lesson is that small clues and critical analysis matter in tracing terrorist funding and the use of commodities. Before 9/11, there was limited understanding of the financial structure of al Qaeda and Hezbollah . The intelligence community carried out its first comprehensive look at al Qaeda's financial structure as late as 1999. The 9/11 Commission found shortcomings throughout the entire intelligence community in looking at al Qaeda's organizational structure. Rather than understanding the complex web of commodities, charities and individual donors that filled al Qaeda's coffers, the conventional wisdom in the intelligence community was that bin Laden was using his personal wealth to finance his organization's operations. Because of this, countless clues to al Qaeda's involvement in the diamond trade and other commodities were ignored or dismissed.

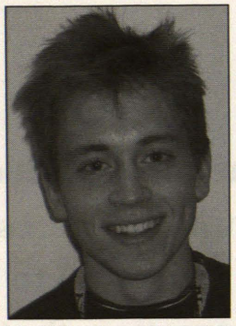
A final lesson is that the intelligence community does not react well to information that it does not come up with on its own. The use of diamonds and other commodities to finance terrorism was dismissed for years because newspaper correspondents rather than intelligence operatives came up with the initial information. If it had not been for the dedicated work of a handful of members of Congress and the intelligence community, this information would have been buried.

The conditions that favored al Qaeda and other criminal organizations in West Africa—corruption, conflicts over natural resources, lack of government control in vast areas, the emergence of sophisticated organized criminal networks—continue to exist there as well as many other regions of the world. These "failed states" or "stateless regions" are the ideal operating grounds for terrorists and other groups that pose significant threats to U.S. national security.

"The intelligence community does not react well to information that it does not come up with on its own. The use of diamonds and other commodities to finance terrorism was dismissed for years because newspaper correspondents rather than intelligence operatives came up with the initial information."



Security Czar: *Ambassador John Negroponte, President Bush's nominee for U.S. National Intelligence Director, faces questioning at a Senate confirmation hearing. The American intelligence community is undertaking a broad restructuring effort in response to alleged failures in recent years. (PAUL J. RICHARDS/AFP/Getty Images)*



CLEANING UP POLITICS

Justice in the American Electoral Process and the Devaluation of the Dollar

by Sören Südhof

The American political system is flawed. It is skewed, irresponsible, crashing-down-upon-our-heads apocalyptically rotten at the core. You think you control the vote, but the media determines your vote, and money controls the media. You think your leaders care what you think, but your leaders depend on money to control the media to get your vote, and the money, well, the money is in other places than the pockets of the average American. The money is in the pockets of the top one percent of the population and in a few large corporations and special interest groups. And as leaders spend more, they must ask for more.

Consider the 2000 presidential election, in the course of which George W. Bush spent $185.92 million and Al Gore spent $120.03 million, $193.09 million and $132.8 million for Bush and Gore, respectively, coming from private donors. This spending derby pales in comparison to the 2004 election, however, during which Bush spent $345.26 million, a nearly 100 percent increase. John Kerry, on the other hand, spent a measly $310 million, $50 million short of a 300 percent increase from Gore's 2000 spending.

No matter what their personal aspirations and desires are, politicians must in such a climate spend a great deal of time raising funds and dealing with important contributors, and less time shaping policy or dealing directly with their constituents. Candidates, once elected, are beholden to those that made their election possible; contributors pay for greater political influence. Additionally, candidates without wealth or without appeal to those with money are excluded from the political system. But even more importantly, the effects of the democratic process is visible in the voting population itself—voter rates are low, and there is widespread cynicism about politics (especially among the youth), which also results in reduced interest by many capable people of entering into public service. Ideologically, money influence in elections is even more patently undemocratic. Politicians are public servants meant to represent the wills of the people, not of special interests and corporations.

The roots of the problem lie in Hanna's management of McKinley's turn-of-the-century campaign, in which he spent record amounts and handily beat the more eloquent and popular Bryant. But initial reform waited until the 1970's, when a pissed-off American public rebounded from Watergate, and congressmen felt a need to repair the widespread negative perception of politics. Between 1971 and 1974, the series of laws were passed that were later known as the Federal Elections Campaign Act (FECA). FECA laid the groundwork for campaign finance reform in many ways. First, it made rules that limited direct contributions to candidates and parties, known has "hard money", limiting individual contributions to $1,000 for both primary and general election. Second, it limited contributions from PACS (Political Action Committees, organized by corporations, unions, individuals, organizations, etc.) to $5,000 for both primary and general election. Third, it constructed a mandatory system for the reporting of all contributions to and all expenditures by campaigns. All aspects of this system were supervised by the bipartisan Federal Election Commission. And finally, FECA established a voluntary system of public presidential campaign financing—a candidate who chose to accept public financing agreed to spending limits and accepted government funds matching private funds raised by candidates in the primary stage, while in the general election, a candidate refused all private contributions and limited his/her spending, but received full public funding. All presidential candidates opted into this system from its inception until the 2000 election, when George W. Bush relied solely on private money to finance his election.

Some consider it miraculous that so many vestiges of FECA have survived to the present day, although some important parts have been struck—namely the limits

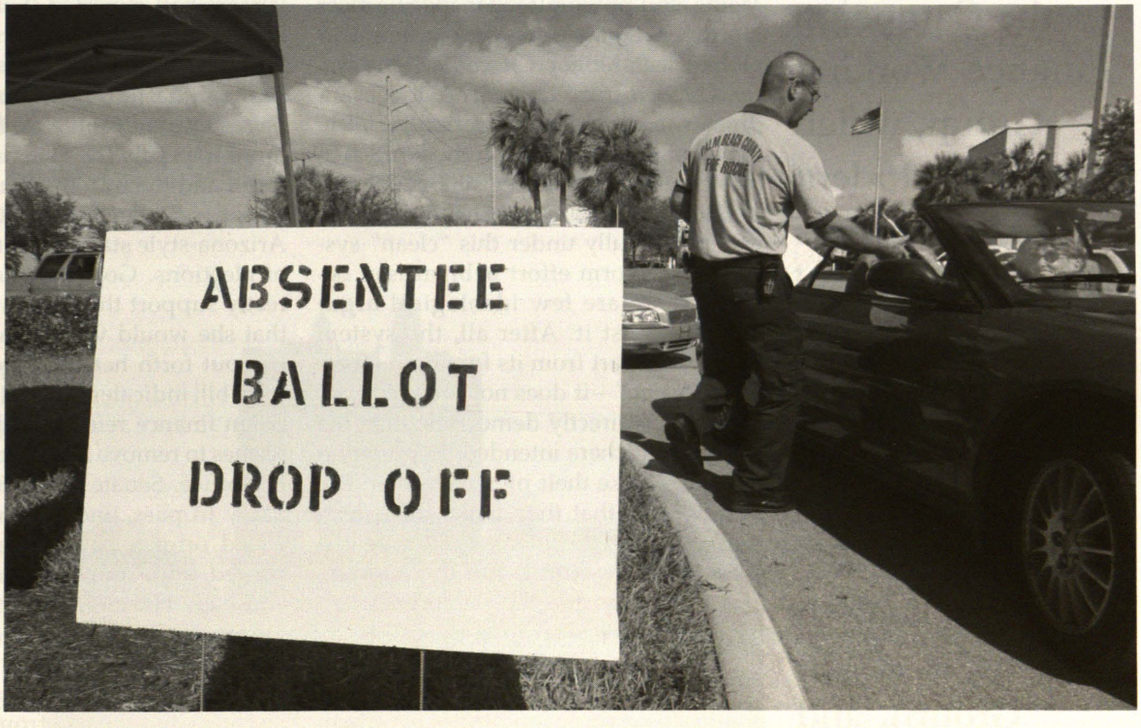
Sören Südhof *is a sophomore in Berkeley College.*

on expenditures, which were interpreted by the Supreme Court as limiting free speech. But there are other reasons why many authorities consider modern elections to be as "dirty" as ever: the number of PACS has increased exponentially since the 1980's, the costs of running for office double or triple every few years (and with no limit on expenditures, this raises the need that candidates have for money contributions), and finally, most elections have become less competitive with the overwhelming incumbent advantage (an over 95 percent reelection rate), mainly due to money influence. Incumbents usually outspend their opponents, often amassing large "war chests" between election years.

A clear majority of Americans support reform, but initiative and responsibility for change rests on the public, not Congress (as in the case of FECA). The Federal Election Commission has little incentive to push for change or truly act as a regulatory mechanism, because both parties represented in it benefit from and are accustomed to the present state of lobbyist-dependent politics. Citizens have a variety of reform options both nationally and locally: they can attempt to overturn the Supreme Court decision removing expenditure limits, they can attempt to further limit contribution limits, or they can attempt to cut down "soft money" contributions, which are unregulated funds given directly to political parties. All three reform paths have significant downsides, however; the first two are dependent on Supreme Court decisions, the second also may have the effect that candidates must simply devote even more time to money-raising, and the third has produced ambiguous results. The 2002 Bi-Partisan Campaign Reform Act (BCRA) regulated soft money donations, but relaxed hard money restrictions, and also made concessions towards special political commissions.

All campaign finance reform enacted thus far has also been unable to address the various paths through which human ingenuity and the power of the dollar have managed to worm their way into the candidates' purse, chiefly "bundling". Bundling is the process of a single entity collecting several (or several thousand) individual hard money contributions of $2,000, bundling them all together, and handing them over to the candidate, who is perfectly aware of his debt to the single "bundler". Simple, but effective. The only true method of reform against such efforts is a total reform of the electoral system—advocating public financing of elections.

A system of publicly financed elections limits both contributions and



Polling Station: *A voter casts an absentee ballot in Palm Beach County, Florida on November 1, 2004. During this presidential election, many voters were concerned about President Bush's ties to the oil industry and Vice President Cheney's contacts in the defense sector. (MARIO TAMA/Getty Images)*

"The reform effort in Connecticut has been pushed by a coalition called the Campaign Finance Working Group, which includes student organizations from Trinity and Wesleyan, the Yale Students for Clean Elections, Common Cause, CCAG (Connecticut Citizens action Group), and Citizens for Election Reform."

expenditures, and it is the only system that accomplishes this in a way that is constitutional. The most common model is one of matching privately raised funds with public funds, and then limiting expenditures to this collected money. The system further balances against big interests by only matching small contributors. A more radical and more effective model is that of complete public financing, also known as Clean Money or Clean Elections (a nomenclature which its opponents detest). This system offers candidates the full amount that can be legally spent in return for agreement to raise no private funds at all. Already passed by voter initiative in Arizona and Maine, and put in place for specific races North Carolina, New Mexico and Vermont, Clean Money/Clean Elections systems have increased the diversity of candidates, created more competitive elections, and, most importantly, lifted lobbyist pressures from legislators.

Both Republicans and Democrats have run successfully under this "clean" system. The reform effort is bipartisan because there are few ideological arguments against it. After all, the system does not depart from its founding tenets when "clean"—it does not become more populist or directly democratic than the Founding Fathers intended. Representatives still make their own decisions. The difference is that they make their decisions based on the interests of the people they are representing, not the interests of corporations and the wealthy few.

Students are answering the call to action. Supported by the umbrella organization Democracy Matters!, a national group for campaign finance reform founded by NBA star Adonal Foyle, concerned students are building groups on college campuses nationwide. Yale has its own sub-chapter called Students for Clean Elections. Action has been largely restricted to local and state-wide reform, for two reasons. First, the chances of success for a national reform bill are extremely unlikely in the current political climate, both as a bipartisan effort and as part of the platform of a single party. America is not ready for this type of sweeping change. Second, campaign finance reform is more important on the local level. Local politics are not as publicly scrutinized as national elections, corruption is more widespread, political machines more influential, and relatively large amounts of money have a greater effect. Additionally, local politicians face issues that directly and immediately affect their constituents, and thus direct accountability to voters is more important than with politicians at the national level, who must balance national interests as well as local ones.

Successes in some states have shown others the way, including Connecticut. And there have been successes, most notably the passage of a clean elections bill by the legislature in 2000. Unfortunately, the bill was promptly vetoed by Governor Rowland, no doubt just as many legislators had expected. Following the financial scandals involving Governor Rowland, which ultimately resulted in his resignation, Connecticut activists have become more, well, active—and more hopeful. The state is ready for reform, and the introduction of Senate Bill 61 gives the legislature another shot at Arizona-style statewide public financing of elections. Governor Rell doesn't directly support the bill, but it is doubtful that she would veto it: the fact that she has put forth her own more limited reform bill indicates that she supports campaign finance reform, and she no doubt wishes to remove Rowland's stigma from her office. Senate Bill 877 is even more likely to pass, and presents a more focused reform path, because it is concerned with municipalities in general and New Haven in particular. It simply grants municipalities the right to enact campaign finance reform, and thus takes the reform responsibility for mayoral elections and the like from the state. The necessity for such a reform becomes clear when one considers that New Haven Mayor deStefano spent 1.2 million dollars on his election, 70 percent of which came from contributors from outside New Haven! Bill 877 has the support of the mayor, the council of aldermen, and all New Haven congressional representatives.

The reform effort in Connecticut has been pushed by a coalition called the Campaign Finance Working Group, which includes student organizations from Trinity and Wesleyan, the Yale Students for Clean Elections, Common Cause, CCAG (Connecticut Citizens action Group), and Citi-

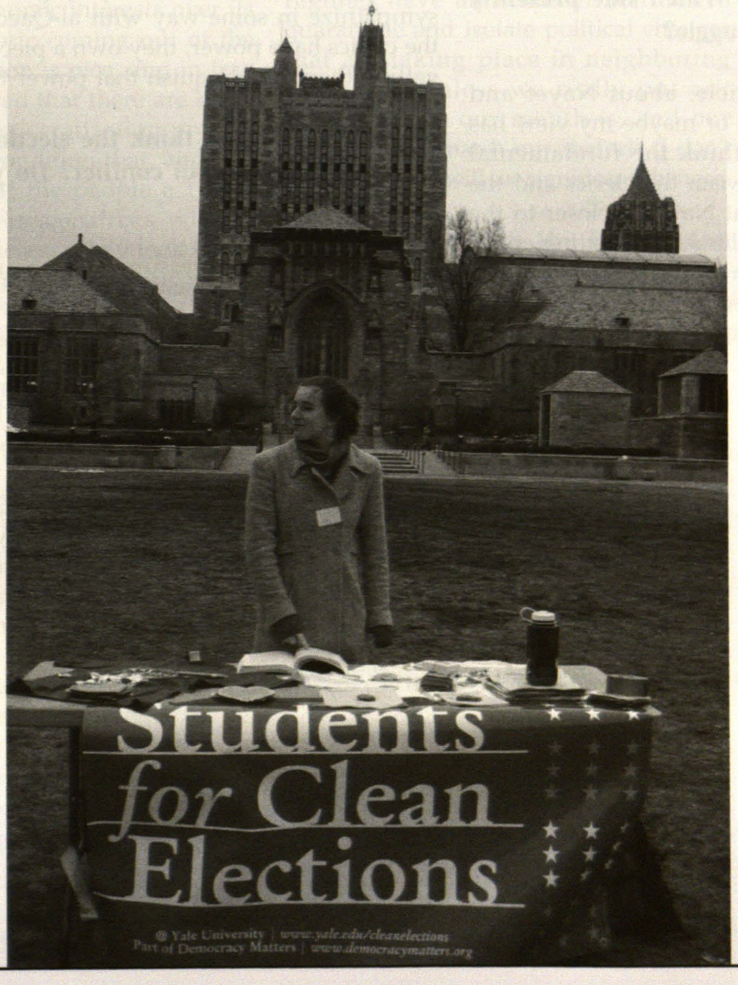
zens for Election Reform.

Political groups thrive at Yale: here you can find action groups and think tanks for progressives, liberals, fascists, conservatives, neocons, libertarians, and socialists. And any other direction you can come up with, and any potentially political issue across the board, from sweatshops to civil rights. But Students for Clean Elections are working towards an end that is almost within grasp, talking to the above-mentioned congressmen, attending the Democracy Matters! conference in Albany, NY, organizing fund-raisers in the New Haven area, testifying for committees in Hartford, and raising campus awareness.

The topic itself is clearly exceptional both in breadth and implication—it envelopes all political debate and all legislation, and is concerned with basic democratic ideals (think of it as a civil rights issue). The effort is also nominally bipartisan, although the cause, oddly enough, seems to attract more Democrat than Republican support. But what the group really has going for it is action—with this group, you can actually *do* something! You can lobby congressmen, meet with students from across America at conferences, reach out to the campus, reach out to New Haven, reach out to Newport, reach out to Connecticut and Minnesota and the United States entire. And things are happening. Friends in Minnesota are within a hairsbreadth of success, Maine and Arizona have already implemented reforms. The national organization Democracy Matters!, despite its small size and humble (recent) beginnings, has begun to change the national political landscape. How often have you worked in an organization in which every time you lift your hand, it is doing something, and not just fantasizing about a possible future, debating past politics, or discussing hypothetical situations a la Model U.N.? How often has your activism for an issue truly changed the way that the nation views this issue, all you pro-life and pro-choice activists?

That is not to say that all support for these other indubitably worthy causes and organizations is useless or insignificant—participation of any kind works some sort of change. The question is simply one of seeing this change, and of being able to trace the effect back to the cause. Students for Clean Elections keep at their travails because they are doing something, and because it feels damn good. And because they are saving American politics in the process.

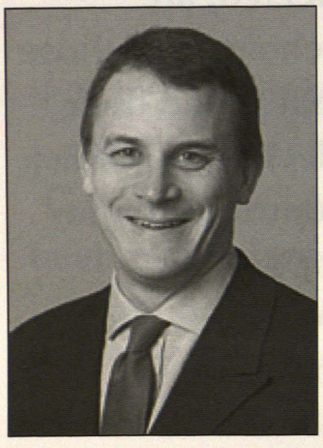
"Candidates, once elected, are beholden to those that made their election possible; contributors pay for greater political influence."



College Cleanup: *Eliza Berman of Yale University hands out literature on behalf of Students for Clean Elections. This campus group aims to take "big money" out of the political equation. (Photo by Dan Weekes)*

REFORM IN THE MIDDLE EAST

An Interview with Michael Doran



Dr. Michael Doran is an influential scholar and is regarded as an expert on Middle Eastern affairs. An Assistant Professor of Near Eastern Studies at Princeton, he has published three articles in *Foreign Affairs* since 2002, the latest entitled "The Saudi Paradox." On February 10, he gave a lecture at Yale on Saudi Arabia as part of the International Security Studies "Grand Strategy" lecture series. After the lecture, he sat down with *The Politic*.

You have spoken and written extensively on the ongoing conflict within the Saudi state between the forces of liberal reform, represented by Crown Prince Abdullah, and the forces of religious conservatism, represented by Prince Nayef. Which side presently has the upper hand in this struggle?

The way I put that in the article, about Nayef and Abdullah, was a little simplistic, or maybe my view has changed a little since then. I think the fundamental distinction in Saudi politics between the clerics and the reformers holds, and I think that Nayef is closer to the clerics than Abdullah, and that the default setting of the Saudi state is closer to Nayef than to Abdullah. But Nayef and Abdullah have managed to keep their differences from become open in the public, so they have managed, despite the differences, to show a lot of family solidarity in the face of al-Qaeda's insurgency.

What role do you think the municipal elections that are taking place over the next few months have in tilting the balance in favor of the reformers?

None, nothing. It's all window dressing.

Which message, the message of reform or the message of religious conservatism, resonates more with the Saudi people?

Everybody in Saudi Arabia wants reform, that's the bottom line. What reform they want is where it gets difficult. When I say everybody wants reform, I mean that everyone wants greater transparency in government, with less corruption and so forth. Even the religious classes would like that. But the religious people, the clerics, don't want a change in the educational curriculum, or anything that would weaken their power. In terms of the Saudi people, I have no idea. As I said in the lecture, my guesstimate is that only about fifteen or twenty percent of the people are so extremely religious that they might sympathize in some way with al-Qaeda's message. But the clerics have power; they own a piece of the state. It is getting them to relinquish that power that is difficult.

What effect do you think the elections in Iraq have on this internal Saudi conflict? Do you think it had any effect at all?

I think it puts more pressure on the Saudis to show more deference to the democratic agenda in the future. At the same though, it scares them to death. It scares them in two ways: they do not want to reform, neither the clerics nor the royal family really wants to reform. Reform means giving up power, and they are afraid that if they begin that process it will be like the former Soviet Union in that the regime will be toppled. In addition, the Iraqi elections are read as the empowerment of the Shiites, and that's deeply worrying to the Saudi state. Seventy-five percent of neighboring Bahrain is Shiite, and yet the Sunnis rule Bahrain. Now, ten-percent of Saudi Arabia is Shiite, and that may sound like a small percentage in numerical terms, but it is much more significant than that because the Shiites are located in the oil-rich region of the Eastern Province. There is a lot of disaffection among the Shiites, and they are calling for greater rights within Saudi Arabia. So basically, with a Shiite government in Iraq, it is going to be much harder for the Saudis to keep the Shiites down. For instance, the Shiite candidates were not allowed to run in the municipal elections.

So you think the effect of the Iraqi election was limited to the Shiite population?

I know it had an effect among the Shiite community. It is hard for me to read the effect on the wider public. I am sure that among the Saudi liberals it had a galvanizing effect, and probably in other parts of society as well. In general, it is very difficult to know without freedom of information.

Considering the anti-Americanism, and especially the anti-Bushism, that has permeated throughout the Middle East, do you think that President Bush's overt call for reform in Saudi Arabia during the State of the Union address will have any effect among the Saudis, and especially the reformers?

Arabs and Muslims don't trust the United States. The major reason why they don't trust the United States is that they think that the United States looks after its own economic interests over its values. The rhetoric coming out of the Bush administration is nice, and in Iraq the election showed that there are silent partners for a democratization project, but only on the condition that, and this is important, that the people actually believe that their sacrifices will be rewarded with success. They look at the history of U.S. relations with Saudi Arabia, and they think that the United States is more concerned about oil prices than it is about democratization, and so there is deep skepticism. It is one thing to say that the United States will use democratization in order to topple Saddam Hussein. It is another to say that the United States will follow its democratizing agenda when it's not in their economic or political interests.

People are going to read our actions. If our actions match our rhetoric, then we will find lots of silent partners who will become much more vocal. I think it is a fact, that the people in the Middle East calling for democratization have become much more vocal since the toppling of Saddam Hussein. It has had a significant impact, and more can be done. They are looking at us wearily and wondering, "are we really gonna do it, or not?" There are a lot of bad examples of democratization projects in the Middle East. For example the Shiite rebellion in Iraq after the first Gulf War where we called on these people to rise up and then we sat back while they were smashed. They do not want to have that happen again.

So if the United States sets up a legitimate state in Iraq and leaves, and afterwards does not impose direct influence in Iraqi economic and political affairs, do you think that will change in any way the Middle Eastern view of Americans as selfish and only concerned with their own well-being?

No, it will not change it unless the movement spreads beyond Iraq. These regimes have all kinds of abilities to quarantine and isolate political changes that are taking place in neighboring countries. Unless we really put our money where our mouth is, and our actions really match our rhetoric, I don't really think we will see significant changes.

In your article on the Palestinian question in the January/February 2003 edition of Foreign Affairs, you wrote: "If an American road to a

"I think it's a fact that the people in the Middle East calling for democratization have become much more vocal since the toppling of Saddam Hussein. It has had a significant impact, and more can be done."

The Face of Conservatism: *Saudi Interior Minister Prince Nayef bin Abdel Aziz attends a meeting of the interior ministers of the Gulf Cooperation Council to discuss the means to fight terrorism in their region. Although together they show a front of family solidarity, Doran suggests that Nayef represents the religious and majority's beliefs in Saudi Arabia more than his brother, the Crown Prince Abdullah. (YASSER AL-ZAYYAT/ AFP/Getty Images)*

Counting Reform: *Iraqi election workers count votes at a polling station after the recent election. Professor Doran suggests that the election has empowered the Shiite population, who support reform, worrying the moderate Saudi royalty. (AHMAD AL-RUBAYE/AFP/Getty Images)*

calmer situation in Palestine does in fact exist, it runs through Baghdad." Please explain the reasoning behind this statement, and assess our progress down that road during the past two years.

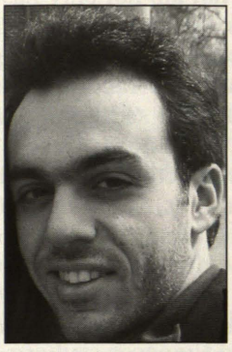
The basic reasoning is that people who want to say that the Arab-Israeli conflict is the key to a safer Middle East have in their mind an image of a unified Muslim world enraged by American policies, and acting in unison against the United States. I do not think that is a driving element of Arab politics, but that's not to say that everybody is happy with American policy towards Palestine. In my opinion, the key to Arab politics is relations between Arabs, and you only need to look at Iraq, which is an extreme example but a good one, to show that politics between the Arabs themselves is the central factor in the lives of these people, and there are lots of conflicts in each one of these countries and between these countries that we are only dimly aware of. The Cold War, and the competition between the United States and France and Iraq, and so forth, perpetuated and deepened a lot of these local conflicts, so it seems to me that if the United States is the sole dominant outside power in the Middle East, it will have a stabilizing effect on the region as a whole. I think no matter what happens, this region is in for trouble; it is a very troubled region and there is no obvious way out. But a hegemonic United States that is not being challenged by a powerful local ruler like Saddam Hussein means a much more stable Middle East.

I do not think, and I was not arguing, that if the United States toppled Saddam, peace would break out in Palestine. There is a conflict there which is one of the deepest and most virulent ethnic conflicts in the world, and so it's not going to go away. But we have seen since Saddam was toppled that things that people predicted would happen did not happen: the Arab world did not rise up against us, Hezbollah did not start attacking Israel, no Arab regime was toppled as a result, and these were things that a lot of knowledgeable people said would happen. On two occasions now we have had significant movement forward between the Israelis and the Palestinians. Now, as I said, this is not necessarily going to bring peace, but it clearly didn't make the situation in Palestine worse than it was before.

"Everybody in Saudi Arabia wants reform, that's the bottom line. What reform they want is where it gets difficult."

Finally, how crucial is the role of women, specifically in conservative states such as Saudi Arabia, in the road to reform in the Middle East, especially considering the voting of women in the Iraqi and Afghan elections?

I think it is really crucial, and I think that the example of the women in Iraq was an excellent one. The women's issue, and the status of women is central to the whole debate over the political and religious identity in the region, and we can't ignore it. It is also the most sensitive issue, so we have to be careful about how we go about it, but it's absolutely crucial. It is social issues that are simply the most important. P



ROUSSEAU AND POLITICAL LEADERSHIP

Theory at Work

by Harris Mylonas

In this article, I discuss Rousseau's understanding of the role of political science in the pursuit of the good regime. I read the *Social Contract* as an effort to bridge the disjunction between the particularity of individuals and the general will which incarnates the common good, nature and will, necessity and freedom, partiality and equality, public and private, justice and utility. Rousseau builds the political foundations of a "sure and legitimate" body politic by suggesting a way of transforming strength into right, and obedience into duty. Social order is the basis of all rights; however, it is founded on conventions. The solution he proposes is to form a social compact where the people as a whole, as a Sovereign, is active and at the same time the people as a whole, as a State, is passive, and thus subject to the general will of the Sovereign. A government (magistracy) intermediates (executive power) the two in accordance with the law (constitution), which is an act of the people as Sovereign (legislative power). Legislation gives movement and will to the body politic that is established by the social compact. In this way, the people limit their natural liberty in order to acquire a moral and legitimate civil liberty. In such a civil order, justice will coincide with interest. However, it is clear that to create a good regime we cannot rely on individuals that are naturally inclined to think of their particularity, we need something superior and more lasting. Rousseau finds this in the general will and the Constitution (Law).

Rousseau's project is driven by the fundamental insight that although human beings have a natural inclination for self-preservation, nature alone does not provide us with the conditions for constituting a social order that will respect liberty and equality and at the same time protect our lives. It is up to human intervention, through the establishment of conventions and political institutions, to establish the best regime. Nature hinders human efforts to find the right institutions and laws for people. Rousseau suggests that our quest for the "best regime" would be easier if it was not for the wide variety of natural circumstances that influence our lives, such as differences in climatic conditions, nature of the terrain, variety of natural resources, and so forth. In other words, if there were natural uniformity, a uniformity of causes and effects arising in and emanating from nature, then our position against the question of the "best regime" would be very different. However, since this natural variation is present our condition and its amelioration depend on the better understanding of the natural forces that impinge upon us.

Rousseau advocates in favor of a Political Science that will incorporate the knowledge of nature as the context of operation of forces. Namely, how a certain kind of motion is produced in one thing, by the motion of some other thing that is prior. Rousseau looks at the political institutions that have emerged in different places and times and demonstrates how all of them rely on a prior convention. In the chapter titled "That we must always go back to a first convention," he writes, "it would be better, before examining the act by which a people chooses a king, to examine that by which it has become a people; for this act, being prior to the other, is the true foundation of society." (Book I, chapter 5).

It is Rousseau's contention that a scientific approach, based on an understanding of the causal relationships in nature and their effect on us, would give humanity an enormous advantage in its effort to regulate itself as a community. Political Science can provide us with an understanding of how certain conventions came about, what caused them, and consequently how should one proceed in order to change them in such a way so as to promote liberty and equality. In sum, through the systematic study of cause and effect in the realm of nature, we become aware of our natural limitations and, thus, more able to invent political institutions that integrate those limitations. Finally, "The Legislator," this 'One' individual that will establish the Law of a society without being part of the con-

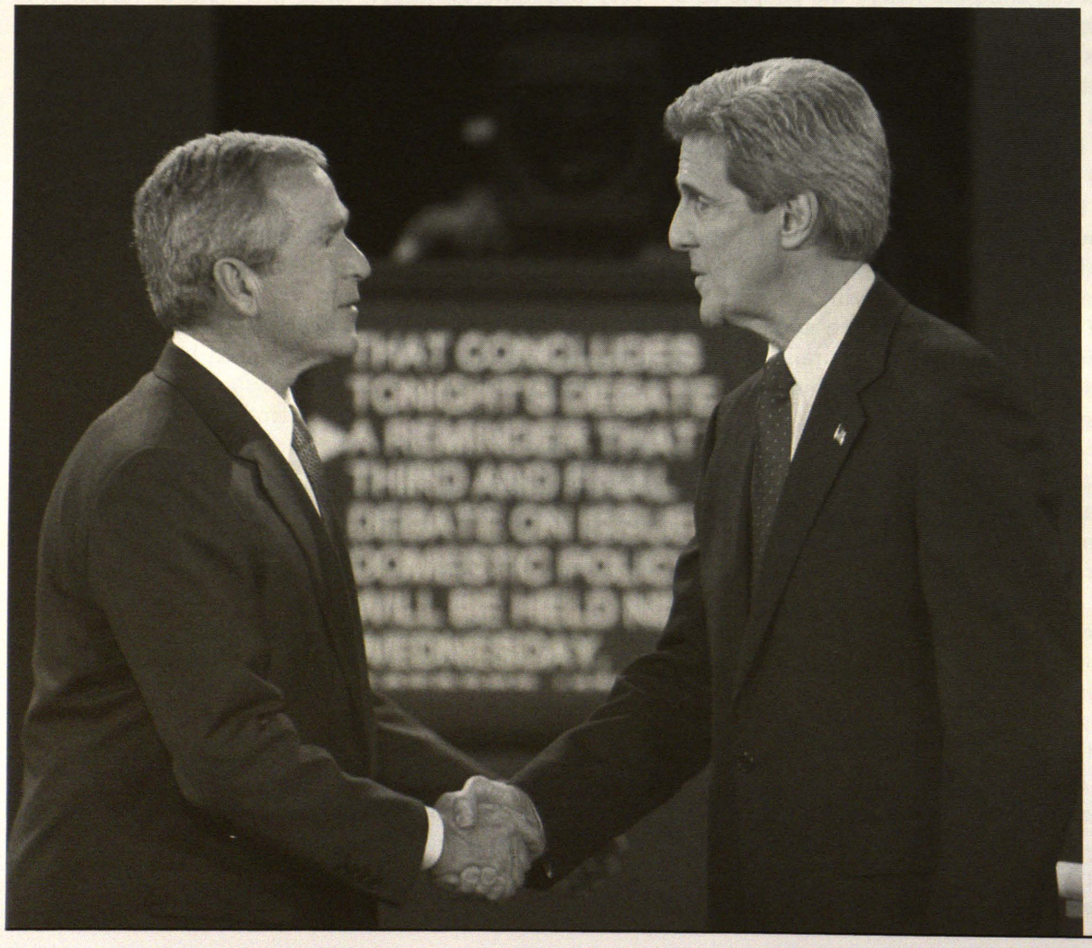
Harris Mylonas *is a third year graduate student in the Political Science Department at Yale University.*

"When good laws and corrupt people meet, the State does not last for long."

stitution or the government himself, should be a political scientist who will discover the best rules for every nation with the help of "Reason." However, for this process to be successful one needs to delve into the mechanics of human psychology and that of political communities.

Rousseau holds that there are reasons for both expansion and contraction of the territory of a State. The size of a body politic should not be "too large for good government, nor too small for self-maintenance." On the one hand, Rousseau suggests that, "long distances make administration more difficult, just as a weight becomes heavier at the end of a longer lever." (Book II, Chapter 9). The existence of many layers of government makes the state counterproductive. The transaction costs involved for the operation of a large administration and the multitude of different orders drain the resources of the country, thus in a case of emergency the State is at the eve of destruction. Moreover, Rousseau points to the heterogeneity of preferences that grows as the State becomes larger. He writes, "This is not all; not only has the government less vigour and promptitude for securing observance of the laws, preventing nuisances, correcting abuses, and guarding against seditious undertakings begun in distant places; the people has less affection for its rulers, whom it never sees, for its country, which to its eyes, seems like the world, and for its fellow citizens, most of whom are unknown to it." (Book III, Chapter 9). The logic here is that as the state grows larger in terms of territory, it naturally incorporates many different places that have distinct characteristics, different customs and morals, and various climates. Thus, Rousseau concludes that such a diverse country cannot be governed by the same laws and endure a uniform government.

On the other hand, Rousseau finds reasons for expansion. He points to the advantages that the dispersion of a population gives to the government, in its effort to control the State and counteract revolutions. The following passage is characteristic: "The greater the territory occupied by a fixed number of inhabitants, the more difficult revolt becomes, because rapid or secret concerted action is impossible, and the government can easily unmask projects and cut communications; but the more a numerous people is gathered together, the less can the government usurp the Sovereign's place: the people's leaders can deliberate as safely in their houses as the prince in council, and the crowd gather as rapidly in the squares as the prince's troops in their quarters." (Book III, Ch. 8). In this sense, scarcely populated countries are easier to control, while at



Factions in Action: *U.S. President George W. Bush shakes hands with Democratic presidential candidate John Kerry before their debate rematch at Washington University in St. Louis, Missouri leading up to the 2004 election. Rousseau would have been distrustful of America's two party system, since he believed that political factions come at the expense of the society's general will. (JEFF HAYNES/ AFP/Getty Images)*

the same time they are harder to govern. Finally, the population of a State interacts with the size of the territory. The state should be large enough in order to be economically viable in terms of production; otherwise, it would be dependent on other States. At the same time, it should not be larger than is needed for the population to sustain themselves, because it would entail large costs for defense, accumulation of wealth that could corrupt the morals of the people and produce economic inequalities.

The statesman should systematically study the above-mentioned relationships that differ from place to place and find the optimum size that will maximize the welfare and the preservation of the State. In this process, the statesman has to consider the type of the terrain, the quality of land, the type of assets of the territory, its climate, and the customs and morals of the people who live there. Having done so, the statesman will be able to determine a certain size up to which there are economies of scale, and beyond which diseconomies of scale appear, and thus strength stops increasing with further territorial expansion. The goal of a statesman should be to put the state in a position of equilibrium with the surrounding States "so that the pressure is on all sides practically equal." (Book II, Chapter 9); because a weak State will be taken over by a more powerful neighbor, and one that constantly pursues conquests will necessarily fall.

Rousseau throughout the Social Contract considers the individual psychology and the motivations of people, focusing on the collective action problems that individuals face in their effort to cooperate and form a viable political community. A political science without a political psychology of human beings would be empty. However, the discussion over the psychology of individuals presupposes a social life; thus, we are back to the first convention. Rousseau recognizes that human beings are inclined to pursue their own particular good by nature. Our particularity and individuality hinder the materialization of liberty and equality among men. This is a fundamental political problem: our natural inclination to pursue our personal good makes the materialization of our common good impossible. Rousseau tries to bridge this disjunction and solve this political problem by pointing to the Law and its legitimate enforcement. The social compact gives the right to the people as Sovereign, to impose the general will on the people as State. This relationship is mediated by the institution of government (magistracy), which uses force to implement the general will in accordance to the Law (Constitution). Thus, although force cannot be a source of right, it is revoked for the function of the political community created by the social compact. In this social order, *force* and *will* work together to maintain liberty and equality. This paradox is linked to another insight that Rousseau shares with thinkers like Montesquieu and Aristotle, namely that even "the good" taken to its extreme can lead to ill, or to put it differently, from bad there can be good. Rousseau incorporates his understanding of human psychology in every step of his analysis of the mechanics of the body politic.

Rousseau argues that the existence of factions and partial organizations in a society are formed at the expense of the general will of the body politic. These associations, although *general* relative to their members they are *particular* in relation to the Civil Society. Consequently, the particular interests expressed are less and so the will resulting in such a social setting is less general. Moreover, the danger of one such association dominating the society is prevalent, again turning general will into a particular one. It is clear that Rousseau wants to avoid the tyranny of the majority, and the fractionalization of the society, thus he proposes "each citizen should express his opinion...But if there are partial societies, it is best to have as many as possible and to prevent them from being unequal..." (Book II, Chapter 3). This way he protects the general will from becoming particular, and prevents people from deceit that can erupt from the factions and the consequent polarization of the society.

Rousseau wants to demonstrate the importance of political institutions in creating conventions, customs, and morals that shape peoples' understandings of things. It is in this connection that he quotes Montesquieu arguing that, "At the birth of societies, the rulers of Republics establish institutions, and afterwards the institutions mould the rulers." (Book

"The government under which the citizens increase and multiply most is beyond question the best. The government under which a people wanes and diminishes is the worst."

II, chapter 7). He suggests the establishment of a civil religion that will create citizens that are going to respect the general will and will participate in its formation. Rousseau trusts that through the right institutions that will be the outcome of knowledge of the good, wisdom will filter down to our society through our institutions. In this process, force/nature is necessarily a part; however, our will/virtue is also present, while neither takes over. Rousseau describes a cooperation/synthesis of opposites that conspire for our well being through the right institutions. Wisdom can reconcile force and will. The problem that Rousseau attacks is making a "one" out of conditions of partiality and incompatibility of morals. Civil religion is a significant part of the answer and political science is a necessary condition that will give us the understanding of what are the best institutions for what place and what people. The good legislator has to consider the morals and the customs of the people for which he lays down laws. For instance, rich urban people are corrupt and are not fit for good laws and a legislator should look for the particular system of institutions that would be best for the particular State. When good laws and corrupt people meet, the State does not last for long.

Exporting Revolution: *French soldiers prepare to participate in the Bastille Day parade on the Champs Elysee in Paris. July 14 marks the anniversary of the storming of the Bastille prison in 1789, the event that sparked the French Revolution. The philosophy of Rousseau, who believed that revolution and violence were often the best way to change corrupt laws and institutions, influenced revolutionary sentiment in late 18th century France. (MEHDI FEDOUACH/AFP/Getty Images)*

Nevertheless, no society is naturally corrupt, but rather institutions and bad laws established in the past have corrupted them, and thus their reformation is a project requiring adequate political institutions that will take this past into account. Rousseau holds that the best times for such changes to occur are periods of violence and revolutions, since "the State, set on fire by civil wars, is born again, so to speak, from its ashes, and takes on anew, fresh from the jaws of death, the vigour of youth." (Book II, chapter 8). The main insights behind this assertion are first that out of bad there can be good, and second that such fundamental changes in the institutions and morals of people have been historically conditional to chance (*fortuna*) rather than planned action.

Rousseau describes what would be the ideal people fit for legislation: a) "some unity of origin, interest, or convention," b) "never yet felt the real yoke of law;" c) not deeply ingrained superstitions nor customs, d) not threat-

ened by sudden invasion from rival peoples, e) not interfering in neighbor's disputes while being strong enough to counteract any attack, f) existence of personal relationships that prevent free-riding and promote cooperation, g) independence from the rest of the world, h) being neither rich nor poor, but self sufficient, and finally, i) "one which unites the consistency of ancient people with the docility of a new one." (Book II, Chapter 10).

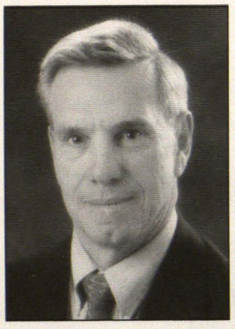
The *end* of every body politic and the system of legislation moving it should be the achievement of the greatest good of all: liberty and equality for its citizens. If the social order in place does not respect liberty and equality then it is destined to fail. Rousseau was aware of the tension between the will of a revenue-maximizing ruler and the political institutions and laws that would maximize social welfare and promote the public good. He demonstrates in a paradigmatic way how each form of government can degenerate and tries to find the arrangement that would prevent the expression of particularities and would promote the general will. The natural relation needs rectification by man. In this framework, Rousseau investigates the forces of nature in the distribution of forms of government, namely the one, the few, and the many and their ability to materialize liberty and equality. In the same way that the statesman tries to put the State in a position of equilibrium with the surrounding States "so that the pressure is on all sides practically equal," the legislator has to find the equilibrium between the government, the Sovereign, and the State; and the equilibrium within the government itself. A related concern is the optimum balance between the size of the magistracy and that of the country's population. Human beings have to device instrumentalities that can control particularity both within the government and in the body politic.

Finally, Rousseau, being faithful to his project of establishing a science of political life, suggests an indicator of good government that can be based solely on facts and not on moral qualities, which are hard to measure. Since the *end* of political association is the preservation and prosperity of its members, then the surest indicator of its success or failure is the *population growth*. In Rousseau's formulation "The rest being equal, the government under which, without external aids, without naturalization or colonies, the citizens increase and multiply most is beyond question the best. The government under which a people wanes and diminishes is the worst." (Book III, Chapter 9). The ultimate test for a regime is if it lasted or not and for how long.

Rousseau in the Social Contract takes us away from religion/revelation to the formulation of a Political Science that makes us responsible for our condition and its amelioration. We have to find institutions that promote liberty and equality, always keeping in minds the natural limitations of such an effort and without dividing justice and utility. Rousseau acknowledges the importance of belief and its function in the social order; however, he wants to substitute religion with civil religion. This position is informed by the metaphysical concept of Unity (see Plato's dialogue *Parmenides*), and in this case referring to the Unity of the State, which religion undermines where it is influential. Moreover, the people as One are Sovereign and the people as One are subject to the Sovereign, while at the same time each individual being One. The body politic he proposes is Godless, it is a philosophical one, here on earth.

"For a political scientist to be successful, one must delve into the mechanics of human psychology and that of political communities."

Power in Faith: *President-elect George W. Bush and his wife Laura wave farewell to his boyhood hometown of Midland, Texas. As president, Bush has consistently used faith as both a platform for electioneering and for policy-formulation. (JOE RAEDLE/Newsmakers)*



NEW POWERS ON THE HORIZON

Globalization: The Third Wave

by Clyde Prestowitz

In his new book Three Billion New Capitalists: The Great Shift of Wealth and Power to the East, *scheduled to be released by Basic Books on May 2, Clyde Prestowitz shows the powerful yet barely visible trends that are threatening to end the six-hundred year run of Western domination of the world.* The Politic *is pleased to bring you an early excerpt from this book, highlighting these trends and their potential for profoundly altering the world in which we live.*

Today a third wave of globalization is washing over the world. Riding its crest, the two giants of Asia—China and India—are coming back into their own after six hundred years of impoverishment and servitude. The key elements of this new wave are the negation of time and distance and the rapid transfer of technology from advanced to developing countries. The already struggling machinery of the American-led globalization of the Cold War will be battered and strained further, perhaps beyond repair, by the impact of the 3 billion new capitalists emerging from China and India. The new wave will dramatically change corporate strategy, the balance of power, and the everyday lives of billions of people, from the elite "masters of the universe" to ordinary citizens in America and abroad. It will empower individuals as never before and bring into action talents and players long ignored. One of its defining characteristics is that it will be less driven by countries or corporations and more driven by real people. It will unleash unprecedented creativity, advancement of knowledge, and economic development. But at the same time, it will tend to undermine safety net systems and penalize the unskilled. Nondiscriminatory and already less American and less first world, it will challenge the livelihoods of heretofore secure professionals in Europe, the United States, and Japan. Indeed, it will challenge all the conventional economic wisdom as it shifts wealth and power to Asia.

For example, take immigration. Historically America has attracted immigrants in search of opportunity and work. More recently this has also been true of Europe and even, to a lesser extent, of Japan. Now, however, the flow is going the other way. Some of the work is emigrating to seek the workers, and former immigrants are going home where opportunities now seem better. China has become the location of choice for global manufacturing, while India is becoming the destination for software development and services.

These new players are creating new markets and ways of doing business as well as substantial and badly needed centers of demand in the global economy. China has just displaced America as Japan's biggest trading partner and is supplying the demand for possible Japanese growth. Its enormous appetite for food and primary resources is also spurring development from Indonesia to Brazil. At the same time, the new wave is rapidly raising demand for scarce water, accelerating desertification, and poisoning both the water and the air with pollution. On top of that is the question of energy. The entire world will become more dependent than ever on Persian Gulf oil suppliers, even as the price of oil ratchets ever upward. Both energy and environmental issues will challenge not only the United States but also China and India and the rest of the world.

As these developments shift the basic structure of the global economy, they are calling into question assumptions that have long dominated global economic policies. Business executives, economists, and political leaders have resisted rethinking them even when they seemed seriously out of whack with realities. These issues remind me of the flaws in the Titanic, since the global system could founder on them, absent new thinking more compatible with the realities of the new wave of globalization:

• The U.S. trade deficit is now over $600 billion, or about 6 percent of GDP annually. As a result, the United States

Clyde Prestowitz *is founder and President of the Economic Strategy Institute, a Washington think tank. He regularly writes for leading publications and journals, and is the author of several other books on international trade, business strategy, and foreign policy. Prior to founding ESI, Clyde Prestowitz served as a counselor to the Secretary of Commerce in the Reagan Administration.*

has swung from being a major creditor nation to having the biggest debt—now nearing $3 trillion. These unprecedented amounts, however, have been dismissed as potential problems. They have even been called signs of strength by some who claim they just mean the U.S. economy is growing faster than others. This growth also supposedly makes it easy to finance them because foreigners will want to invest in the fast-growing U.S. economy. More recently, however, leaders like Federal Reserve chairman Alan Greenspan and former chairman Paul Volcker have begun to express concern that the deficits may be unsustainable. The United States now needs a fix of over $2 billion a day of foreign money coming in. Without new thinking, there may be a day when it doesn't come.

• Behind the trade deficit lies the zero savings of American households, the federal budget deficit, and the excessive savings rates and mercantilism of a number of other countries. None of these phenomena are sustainable.

• Can, and should, the dollar last as the world's currency? Heretofore there have been no real alternative, but with the advent of the euro and discussion of an Asian currency unit, that situation is changing. The special role of the dollar as the world's money removes all financial discipline from the United States and enables currency manipulation by other countries. This is the key Titanic-like flaw in the current system. It cannot last. But how and when to change are crucial questions not presently being addressed.

• Does manufacturing matter? In the United States, manufacturing has declined from 23 percent of GDP in the 1980s to 12.7 percent today. Europe and Japan have also seen a decline, but smaller than in the United States. The conventional wisdom holds that the structure of an economy, what it makes, and the services it provides are not terribly important and should not be the subject of government policy. According to this view, linkages between industries and technologies are unimportant, and technology development is independent of manufacturing and production. This view also seems to be at odds with the realities of the third wave of globalization. Beyond that is the question of balancing the trade deficit, which is mostly in manufactured goods. But the United States does not have enough physical manufacturing capacity to export its way to anything approaching a trade balance even if the dollar goes to zero value. Services exports can surely rise, but it is unlikely they can completely fill in the gap. Without some development in manufacturing, therefore, the only way out of the trade deficit is a significant cut in consumption. Thus the question, does manufacturing matter?

• Economists have held it as an article of faith that high-tech manufacturing and services are done in advanced countries, while routine, low-value work is done in developing countries. But China has more semiconductor plants under construction or about to go into operation than America has. All mobile phone makers have moved most or much of their R&D to China. Nor does India limit itself to mundane software development; it also works at the cutting edge. As for services work, radiology, heart and joint replacement surgery, and pharmaceutical development are regularly outsourced to India. U.S. and European companies emphasize that they do a lot of high-tech work in China and India because they can't get it done as well at home.

• It has long been assumed that as manufacturing jobs disappeared, the service industries would provide secure, high-paying jobs to compensate for the loss of manufacturing. That view, however, is pre-Internet and pre–third wave. It may not be sustainable in the world of 3 billion new capitalists all online.

• The view that the uniquely inventive U.S. economy will always maintain economic leadership by doing the next new thing no longer necessarily holds. U.S. spending on research and development has declined in critical areas, and its technology infrastructure is deteriorating. Other countries are graduating more scientists and engineers, while America graduates fewer and fewer. Most important, the leading U.S. venture capitalists and technology firms are taking R&D and new start-up company development to Asia as fast as possible.

• The MBA and the American business model have had great influence on how

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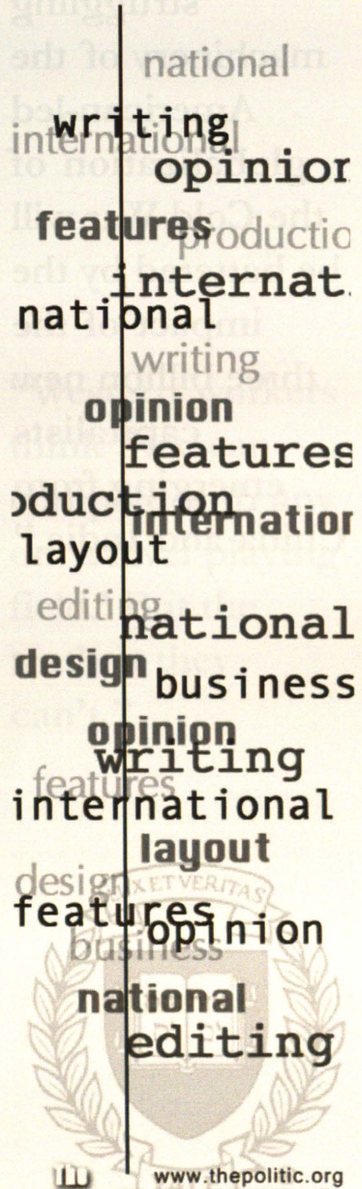

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"The already struggling machinery of the American-led globalization of the Cold War will be battered by the impact of the three billion new capitalists emerging from China and India."

business is done worldwide. The success of U.S. business has been largely attributed to its management and its focus on shareholders as opposed to stakeholders. Yet much of the U.S. business success has been due to government support and fortunate circumstances. The change in circumstances and the rise of strong non-American companies with different concepts of their purpose and objectives may require a whole new way of thinking about business.

• Although Western, particularly U.S., business leaders tend to disdain intervention in their affairs by their own governments, they frequently curry favor with authoritarian foreign governments. This practice may make them more subject to the policies of foreign governments than their own. Ironically this situation has been fostered by Western government officials who disdain the whole notion of an economic strategy. None of this thinking may be sustainable in the wake of the third wave of globalization.

• The level playing field concept is much loved by Western political leaders who are quick to call Asian countries trade cheaters while insisting that Western workers can compete with any on "a level playing field." But the truth is they can't. Advanced country workers with the same skills as Chinese or Indian workers will not be able to compete unless they are willing to accept Indian or Chinese wages. Moreover, in a peculiar way, the playing field will tilt toward the two new giants of the global economy. The potential size of their markets, their endless supply of low-cost labor, the unique combination of many highly skilled but low-paid professionals, and the investment incentives offered by their governments will constitute an irresistible package that will attract investment away not only from the first world but from other developing countries as well. China, for example, could be a real problem for Mexico. The only sensible response is massive investment in education and up-skilling of the workforce. Only those who have capabilities no one else has or who can work better than anyone else will be secure.

• Americans are likely to find themselves increasingly uncompetitive as individuals. They have never understood the extent to which their high standard of living has been the result of good luck rather than personal virtuosity. In the new world of no time and no distance where education will be at a premium, the poor quality of U.S. secondary education will be even more of a disadvantage than it is now. American students now rank near the bottom of all the comparative international tests. To have any chance of competing on a level playing field, the United States will have to find a way to reverse that situation.

School Days: *Approximately 3.4 million students will graduate from universities throughout China this year, according to official statistics. While the U.S. is graduating less and less students in highly-skilled science professions, other countries are increasing their graduation rates in this area. (China Photos/Getty Images)*

• Unless China and India go totally off the rails, they will become the world's largest economies in the middle of this century. The European Union is already the world's largest economic unit and will remain larger than the United States indefinitely. Despite U.S. military might, the balance of international influence and power is already shifting. As the National Intelligence Council says, the international power situation is more fluid now than at any time in the past half century. The challenge for the United States will be to play its currently powerful cards to shape a new balance of power favorable to its interests in a future when it will be relatively much weaker. Will its pride allow it to recognize that reality?

But these are all subsets of a much larger question. Today's global economy is the most integrated and it offers greater potential opportunities than ever. Yet, in many respects it resembles the Titanic, a magnificent machine with serious and largely unrecognized internal flaws heading at full speed for icebergs, armed with knowledge and assumptions significantly at odds with reality. In the pages that follow, I hope to explain the machine's flaws and the true nature of the icebergs so that the third wave of globalization can be even more successful than the second has been.

High Finance: *Federal Reserve Board Chairman Alan Greenspan steps out of a cab at the Community Affairs Research Conference in Washington, D.C. He has recently expressed concern that the U.S. deficit may be unsustaibable. (MARK WILSON/Getty Images)*

"Western workers think they can compete with any on 'a level playing field.' But the truth is they can't."

Dollar Woes: *Until recent years the U.S. dollar has been the main foundation for the world economy. However, recent strengthening of the Euro and the possibility of an pan-Asian currency may put an end to the U.S.'s lack of financial discipline. (DIANA WALKER/Time Life Pictures/Getty Images)*

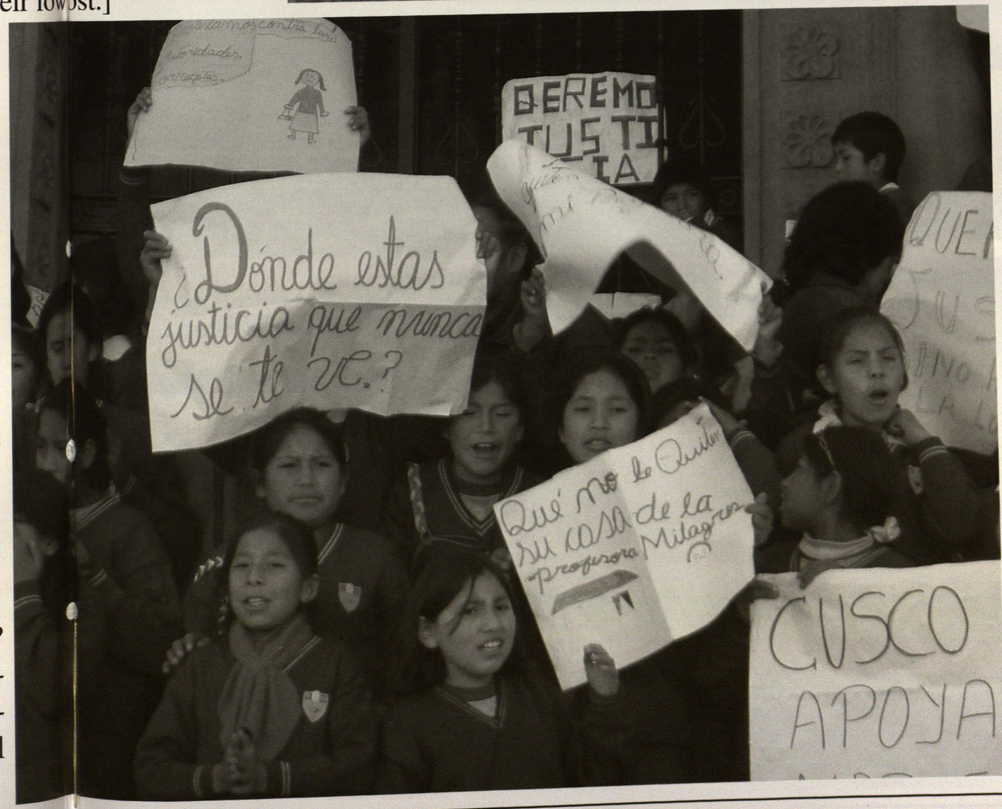
[Native Qechua women perform needlework near the Pisac ruins in the Sacred Valley of Peru. A child looks on.]

[A laborer manufactures tire sandals by hand in Urubamba, Peru. Footwear produced from used tires are the preferred choice of Peruvian peasants due to their low cost.]

PERU

Photographs by David Berv '06

[Schoolchildren pose in remote Peru. Their new school was built by Pro World Service Corp, a volunteer group.]



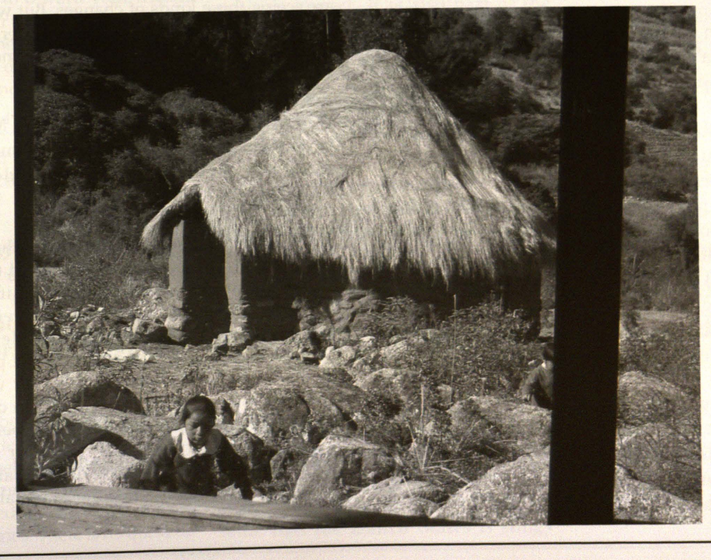
[Where is the justice? Workers protest the Toledo regime in Cuzco during a nationwide general strike.]

[A women shops at a remote general store , surrounded by Western goods.]

[A traditional Peruvian highlands dwelling dominates a lonely hillside as a child climbs to a new school building constructed by Western volunteers.]

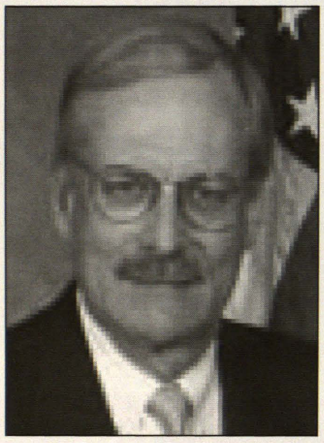
[Peasants in Urubamba, Peru cook their meals at the market. The sign behind them voices support for a nationwide strike against the corrupt ruling regime.]

[The marketplace of Urubamba, Peru is bustling as residents trade for their daily sustenance.]



THE POVERTY CRUSADE

An Interview with Paul Applegarth



Paul Applegarth is the first CEO of the Millennium Challenge Corporation, an organization that President Bush established in 2004 to award development aid to countries that rule justly, invest in their people, and encourage economic freedom. From April 1 - 2, Mr. Applegarth participated in the first Conference on International Development at Yale, sponsored by Reach Out. He sat down for an interview with *The Politic* on April 2, 2005.

What is the Millennium Challenge Corporation (MCC) and how does it differ from previous development programs?

We are a new approach by the United States to development assistance built on the lessons of the past: what's worked and what hasn't worked. We were established on the initiative of President Bush, Condoleezza Rice, and Secretary Colin Powell, who were very much involved in this initially, though we had broad bipartisan support. I think people still believe in trying to help the poorest in the developing countries.

Our mission is poverty reduction, but we are different in a number of ways. Firstly, countries compete for assistance from us, and we evaluate them on how well the governments themselves are functioning in promoting growth and promoting poverty reduction. So we look at them against sixteen different policy indicators; we don't do the rankings, we use the rankings from others. We then pick the best of the countries, and they get the right to tell us what their priorities are for poverty reduction and growth and how they would use the money. They give us a detailed implementation plan with measurable results and outcomes, which again is one of the lessons that will help them.

With this competition-based program, have you come across instances yet of a country enacting or pledging to enact some sort of reform for the expressed purpose of being eligible for aid under the Millennium Challenge Account (MCA)?

We've seen several examples of that. One country explicitly passed four pieces of anti-corruption legislation so that it would improve its chances of being eligible for assistance. In addition, one of the things we measure in the economic freedom area is the number of days it takes to start a business. We use a World Bank indicator which takes a firm and measures how long it takes to get something started, to bring it into the corporate economy. This was announced as a criterion for Millennium Challenge back in January 2003. A year before we were established the average days within the group of countries that were competing for Millennium Challenge money was 61 days. By the time we ran our first competition last May, the average was 47 days. It was relatively easy to fix, and we are seeing those kinds of changes. But we are seeing that changes in other areas are a little harder to come by: rule of law, corruption, political freedom, and freedom of the press.

With the increased spending on the MCA, will there be any reduction in spending on humanitarian aid to countries that aren't eligible under Millennium Challenge?

The President, when he announced this initiative in a conference in Monte Ray in 2002, said that Millennium Challenge should be additional. And if you look you'll see a quite significant increase in foreign aid over the last four years. In 2001, the President said that he wanted to increase foreign aid by 50 percent by 2006, over five years. Actually that target was hit in 2003, and that was before the new 15 billion dollar HIV/AIDS program started to be dispersed, and before Millennium Challenge, which when we reach our full size will be the largest program increase in international assistance for the United States since the Marshall Plan.

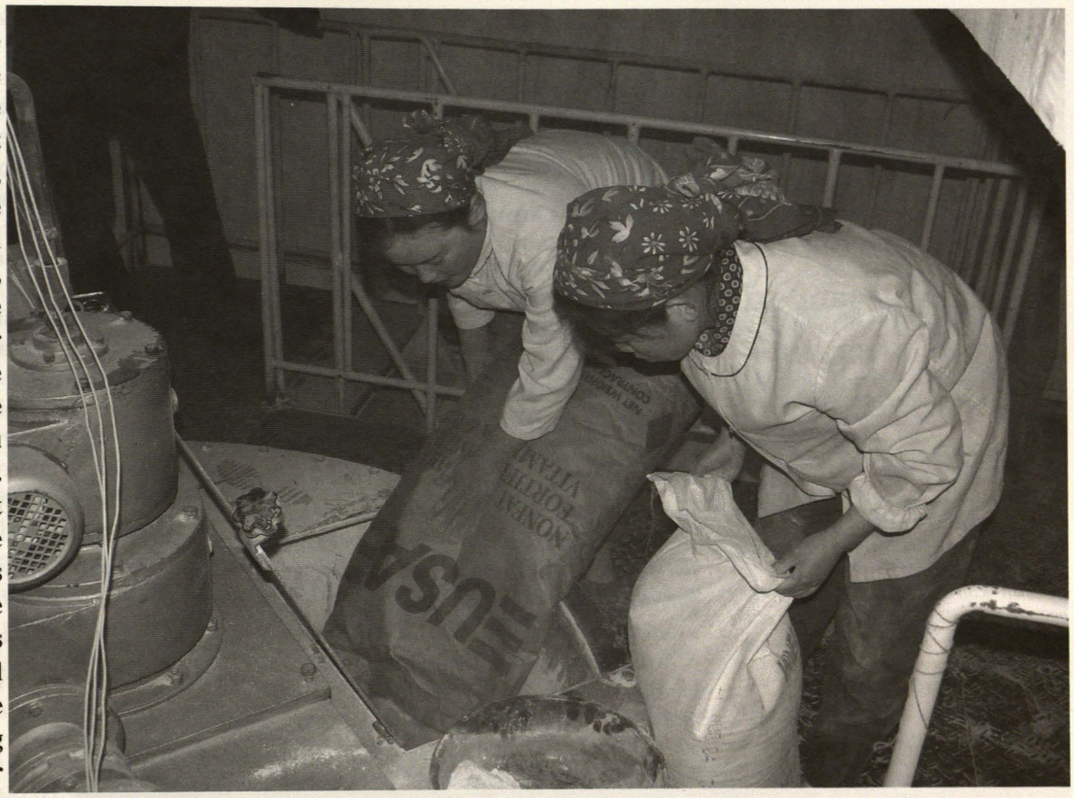
I noticed while looking over the list of eligible countries that some of our allies, a few of which we have bilateral aid agreements with, do not meet the criteria for countries eligible for aid under the MCA. Do you think that the U.S. government should hold these countries accountable to the same standards that we now hold the rest of the developing countries under Millennium Challenge?

Our mission is to promote poverty reduction, but we are part of an overall international assistance program in the United States. There's disaster relief, there's humanitarian relief, and there's money that goes to reward your friends if you like. Our mission is poverty reduction, and those countries who are our friends could do better if they are not receiving assistance from us (MCC) by enacting good policies to promote poverty reduction. In many cases though, they are above our income ceiling; we are really targeting countries below $1400-$1500 per capita.

Given that many people cite poverty as a root cause of terrorism, what role do you feel international development plays in the greater "war on terrorism" and national security?

There are a number of good reasons for Millennium Challenge; I think the world wants to really help the poor. But there is a security element. There is also the promotion of freedom and democracy in developing countries. There is no question that some of our good governance indicators focus around freedom and democracy because those are linked to poverty reduction, and they're linked to growth. But in terms of anti-terrorism and security, absolutely we believe that if we give poor people in poor countries a stake in their future we are having a positive impact. It is also part of the National Security Strategy set out four years ago which was revised at the beginning of the Bush administration. Traditionally our strategy has been built upon two D's: defense and diplomacy. And it was a very public statement to amend the National Security Strategy to say that development and helping the poorest countries in the world is in the national security interests of the United States; that the third D has been missing! It's been added, and you see it as a conscious objective to deal with world poverty through foreign aid increases certainly, but also in trade policy area, in debt relief, focusing on reducing the transaction cost of remittances, a whole range of things recognizing that development is dependent on a lot of things beside foreign aid.

How would you respond to claims by some that the United States is stingy



Aid Questions: *North Korean workers empty sacks of milk formula into a mixer in March, 2005. Meanwhile, officials at the U.N. World Food Programme debated whether support to North Korea should continue. The question of how much aid should be given, and to whom, is at the heart of the Millennium Challenge. (GERALD BOURKE/WFP via Getty Images)*

"There is no question that some of our good governance indicators focus around freedom and democracy because those are linked to poverty reduction, and they're linked to growth."

in its foreign aid, since, according to the UN, it only gave 0.14 percent of its GDP in aid in 2003 when others, such as Norway, gave as high as 0.92 percent?

I would say a number of things. The problem of world poverty is there, and the U.S. should be doing more. I think that you have seen that already in the increase under the Bush administration. In 2004, the percentage went up to .18 percent, and that is before the MCC began to disperse its funds. But you see everything; one is what I was trying to say earlier, aid is not the only issue; it is the issue of government effectiveness on the other side: are the countries putting in place policies that will promote poverty reduction and growth, or is the money going down a rat hole? There is no question that a lot of money in the foreign aid world has not had the best results, and if you look at the lessons of development, they point to a focus on effectiveness. There should be a focus on how the money is being used and what the country is putting in place in order to facilitate growth, and that is obviously what we are about.

In addition, aid is part of a larger effort, including the trade piece I mentioned earlier. Private capital flows into emerging markets have dwarfed official flows over the last several years, and every year the world is getting more integrated, and it is those countries that are growing the fastest. So you have to get the private flows, you have to get trade to stimulate private flows, you have to get debt relief, and you have to look at the transaction costs of remittances. Development is much broader than simply deciding to throw money at the problem; it has to come from the government to do it.

The last piece is that our modern assistance methods are different than a lot of other countries in that aid that flows to developing countries here comes out of charitable giving. You saw this in the tsunami, where actually even though the U.S. has given close to a billion dollars to tsunami affected countries from the government and from the taxpayers, private flows are even larger than that; so the Catholic charitable service, the Red Cross, and the others through which money flows don't get captured in that number you mentioned.

Role Player: *U.S. Secretary of State Colin Powell, who helped oversee the creation of the Millennium Challenge Corporation, holds a press conference with U.N. Secretary-General Kofi Annan. The wide-spread international relief effort for survivors of the Indian Ocean tsunami has forced even more interaction between the U.S. and U.N. (MONIKA GRAFF/Getty Images)*

You mentioned how the Millennium Challenge is an innovative way of encouraging good governance. Do you feel that the U.S. is spearheading this effort in changing the way international aid is being administered, or do you feel the rest of the world is on the same page?

I guess the answer to those two alternative questions is yes. Millennium Challenge is clearly an initiative of the United States, but it was against an

environment at the Monte Ray conference that recognized that developing countries have a responsibility to put their own houses in order. For those developing countries that really do that, the developed countries will put additional aid on the table to help them, and really deliver on their promise. You see other initiatives by some other countries to do some things, some doing more than others, and all of this against the background that aid is much more effective when you focus on results, country ownership, and good policies.

As an insider who has worked in the World Bank for nine years, how do you think Paul Wolfowitz will fare there? What are your thoughts on the claim that he is too ideologically driven for the World Bank?

Firstly, the World Bank is a very important institution. We complement a lot with what they are doing and they complement us. As we were getting started up last year, Jim Wolfensohn, who was head of the bank, was very helpful to us in a variety of ways, both in terms of briefing us on what they were doing, but even things like letting us use their video conference facilities. It was not exactly a major impact on world development, but for us at the start it was very helpful, and we can expect the bank to offer us the same kind of assistance under Paul Wolfowitz.

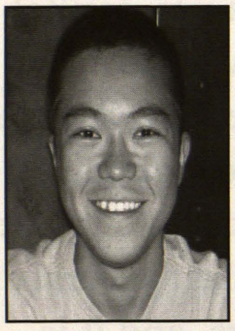
I think the key thing is that he is the first president of the World Bank who has actually lived and worked in emerging markets; he was ambassador to Indonesia for a while. So that experience is invaluable, I believe, because he has a better feel for the kinds of problems from a life-experience.

Overall, do you sense a general shift into accountability-based or more exclusive development programs which reward good governance?

You certainly see a greater focus and emphasis on it, but there are other things that need to be addressed that our model doesn't address. We work with governments that are doing a good job. We don't do disaster relief; I think that USAID and other donors do a good job with that. A lot of programs give humanitarian aid; simply a lot of people live in abject poverty, and you want to do what you can to improve the quality of their daily lives, whether it is food or housing aid. We are different piece of the picture. We'll help a country and people grow out of their dependency on foreign aid, and helping them do it their own way. We are helping people help themselves; we are not simply just doing it for them.

"Private capital flows into emerging markets have dwarfed official flows over the last several years, and it is those countries that are growing the fastest."

***Help Wanted**: In Madagascar, a line forms outside a polling station in the suburb of Tanjombato. Madagascar is the recent recipient of over $100 million dollars in Millennium challenge money, which is planned to be distributed with the aid of the locally elected government. Rural poverty is severe in Madagascar where four out of every five inhabitants live on less than 41 cents a day.*



THE MILLENNIUM CHALLENGE ACCOUNT

Will Old Problems Kill This New Idea?

by Alvin Lee

In World War II we fought to make the world safer, then worked to rebuild it. As we wage war today to keep the world safe from terror, we must also work to make the world a better place for all its citizens." — President Bush, Washington D.C. March 14, 2002.

When President George W. Bush announced the creation of a new U.S. program for development in 2002, the Millennium Challenge Account (MCA), he was reacting to the development problems of the world's poorest peoples as well as the need to win and retain support in his fight against terror. Terrorism was the basis for Bush's proposal to greatly increase U.S. development efforts to "root out corruption, respect human rights, and adhere to the rule of law... invest in better healthcare, better schools and broader immunization... (and) have more open markets and sustainable budget policies." The Bush plan is to select a small number of countries to receive aid each year. These countries will fall under the income bracket of $1435 per capita, and score well on sixteen indicators for good governance and economic freedom. All the money is administered by a small streamlined aid agency, the Millennium Challenge Corporation (MCC).

Seen in this light, the MCA will promote economic growth while creating a global alliance of well-governed, democratic countries joining forces in the fight against terror. In a world where half the world's population lives on less than $2 a day, the Bush administration's new development plan is both timely and crucial. Sustainable development amongst the poorest countries of the world is not just an end in itself, but also a potential tool for promoting stability and sustaining democracy in the interests of the U.S. The MCA is arguably the most prominent policy change in Bush's stance towards developing countries, and the biggest shift in aid policy since President Kennedy's Alliance for Progress in the 60s. But will the MCA be able to achieve this goal of a safer, better world that Bush speaks about, or will it flounder in the midst of bureaucratic inefficiencies, a lack of funding and poor implementation?

***Alvin Lee** is a senior in Morse College majoring in Political Science and International Studies*

The MCA arose to challenge the status quo in U.S. foreign aid – in particular the large bureaucracy of the United States Agency for International Development (USAID). The most prominent statement of Bush's foreign policy, the National Security Strategy, declares that "decades of massive development assistance have failed to spur economic growth in the poorest countries. Worse, development aid has often served to prop up failed policies, relieving the pressure for reform and perpetuating misery." In particular, critics have vilified USAID as an inefficient and outdated bureaucracy that often props up crooked governments with aid money.

How does the MCA differ from the status quo? In the best case scenario, the MCA will bolster good governments in developing countries, creating a world with healthier, richer, more democratic states, delivering where other aid agencies have not. However, there are three key reasons why it might fall short of its promise. First, the MCA might take away much needed funding from existing USAID programs, which, although not perfect, are still performing crucial functions. In fact, development assistance has had some significant successes, especially in immunization campaigns, child survival strategies and improvements to agricultural productivity. While it is true that USAID and other agencies have not brought the world's Zaires and Sudans significant economic growth, the overlooked fact is that much aid to these countries was not centered on economic development. The primary examples of aid lost to corruption or waste – Zaire, Liberia, Sudan and Somalia – were allocated based on cold-war alliances and security goals. President Bush is right not to place all his hopes in the sprawling bureaucracy of USAID, but he cannot ignore the important function it plays and the need for morale-boosting reform within it.

Second, the MCA must prioritize its goals in order to succeed. U.S. foreign aid has not achieved marked

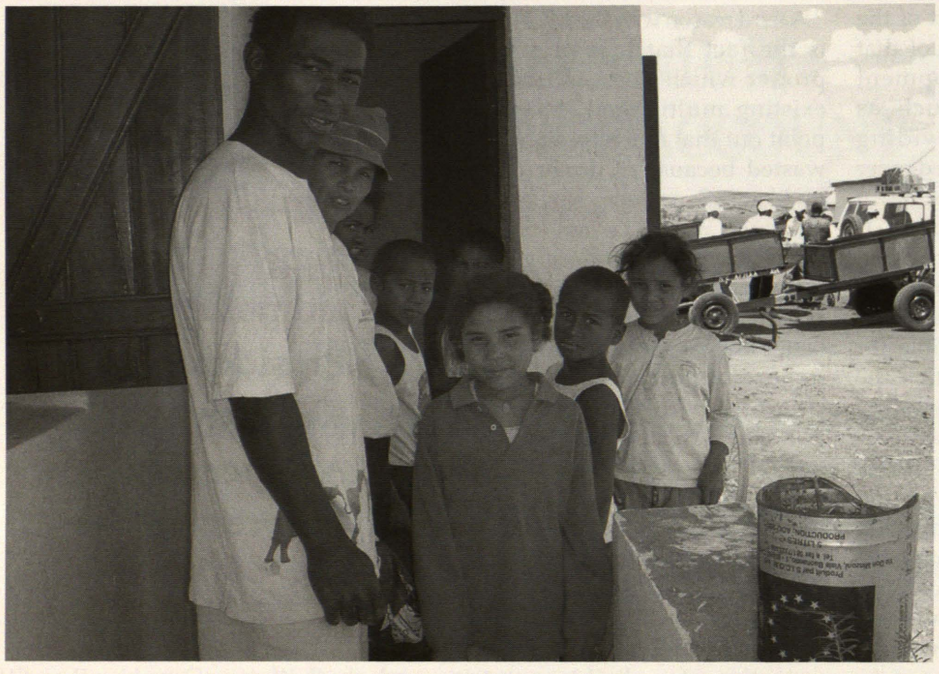
development in the past, but part of the reason is that a large proportion of that aid was not meant for development alone, but for other aims such as rewarding friends or providing humanitarian relief. The MCA is in danger of being sidetracked from its main orientation towards development. It could possibly be used to reward democratic allies who are not as strong on development. Indeed, the decision to select Georgia as a country eligible for MCA funding drew allegations that the selection board was merely rewarding pro-democratic forces that had just emerged victorious in the "Rose revolution". In addition, the MCA could be skewed towards those countries with a prominent threat from fundamentalist Islamic terrorist groups, without concern for how well these countries govern or whether they will use the funds well.

The right way to achieve the vision of the MCA is to fund countries based on their development needs and their ability to use these funds well. The other benefits of economic development – the consolidation of democratic governance in these recipient states, the improvements of the U.S.'s image abroad, the greater security against terrorists angry at the hunger and instability of the developing world –should all come in time. At the moment, the priorities look clear: development comes first. But even if development and poverty reduction remain the first priority, will the MCA be able to sustain adequate funding from Congress for this cause, or will it be gobbled up by the primacy of other concerns? Already, Congress has been reluctant to fund a fledgling agency courageously fighting to prove its worth, and it remains to be seen how long the MCA will last in the political turf wars of Washington D.C.

A third reason why the MCA might falter is the fact that it is primarily a U.S. project which does not work through existing multilateral channels. Critics point out that much foreign assistance is wasted because of donor coordination problems. Supporting similar multilateral initiatives would be less cumbersome to the recipient nations already burdened by a variety of different organizations and rules. The multilateral route also provides better leverage for U.S. funds since other donor countries would contribute in proportion to the U.S. In addition, multilateral operations can work if given enough support. For instance, during the mid-1990s the U.S. worked closely with the World Bank to streamline debt-relief, providing governments in debt with a comprehensive relief plan based on the condition of good policy. Creditor nations cooperated to provide one-stop debt reductions for eligible countries, and these countries that received relief have been able to spend much needed resources on healthcare and education. The debt relief initiatives provide a good model for multi-lateral cooperation, but the Bush administration has chosen the unilateral route. If the MCA is to succeed it has to prove itself capable of providing substantial added value without confusing recipient nations and adding to the problems of donor coordination.

"The MCA is arguably the biggest shift in aid policy since President Kennedy's Alliance for Progress in the 60s."

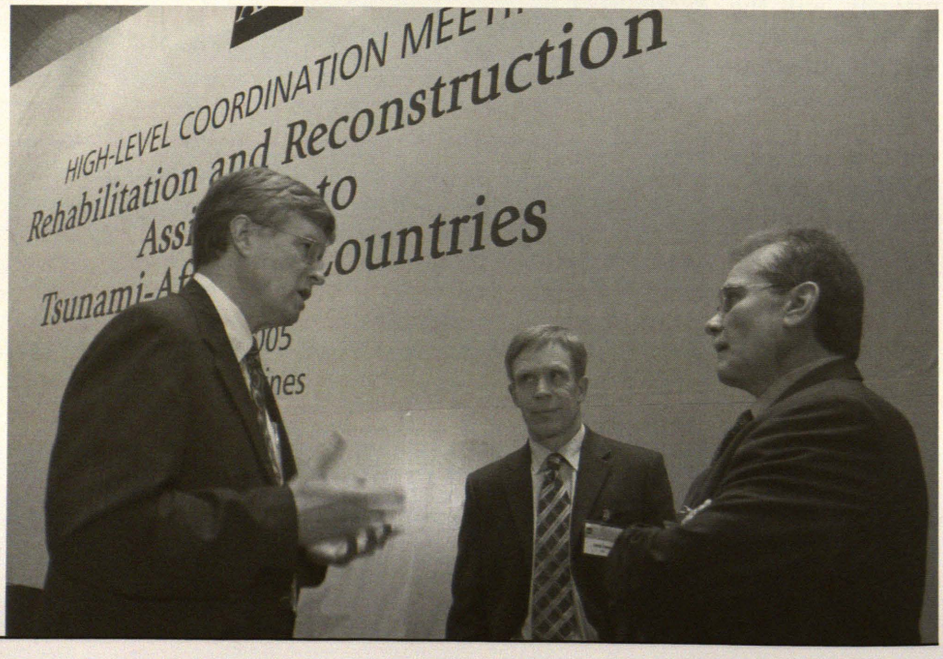
Old Dogs, New Trick: *Former U.S. Presidents George H. Bush and Bill Clinton look on as U.S. Ambassador to Sri Lanka Jeffrey Lunstread is introduced to a Sri Lankan tsunami survivor at a housing project run by USAID in the village of Polathumodara. The MCA may eventually take away funding from USAID, but USAID still performs many useful humanitarian projects. (FINDLAY KEMBER/AFP/Getty Images)*



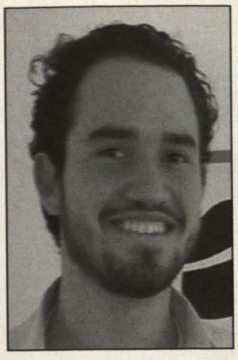
First Up: *A Madagascan family stand outside their house about 200 kilometers east from the capital, Antananarivo. They are among 16 other families moved in 2002 in a family integration program where they will adapt to a healthy life in a small society from a situation of economic and social instability. In March 2005, Madagascar became the first country to sign a compact with the United States' Millennium Challenge Corporation. (PATRICK MERCIER/AFP/Getty Images)*

Despite all the potential pitfalls, the MCA could very well succeed in its objectives. The lack of multilateral cooperation could be ameliorated by a willingness to listen, learn and communicate with other donors, and the Millennium Challenge Corporation seems very willing to do this. Also, while Congress is suspicious of the efficacy of this new institution, it has the benefit of strong backing from President Bush and Secretary of State Condoleeza Rice, who also sits on its board of directors. President Bush needs to provide all the support he can for this organization. This will not be easy amidst the tax breaks, the expenditures on the war in Iraq, and a lukewarm reception from Congress, but it can be done. Finally, success in the MCA cannot come at the expense of USAID. Already, one of USAID's most effective programs – the child survival account that provides vaccinations to the most needy children of the world, 11 million of whom die every year from preventable diseases – has seen a cut in funds from the Bush budget. USAID needs to remain the key provider of healthcare and agriculture aid to those who do not qualify for MCA funding but still desperately need money for what are oftentimes effective programs.

The MCA can be a force to make the world better, as the President envisions it to be. Most people recognize that the MCA faces many challenges. What few people recognize is that the stakes are higher this time. If the MCA fails, then the world's preeminent superpower could well turn its back on the world of development assistance, thinking that if all these new ideas and money could not help the world's poorest, then nothing can. And that would be a tragedy of the highest proportions. P



Cover Your Bases: *U.S. delegates huddle during the Asian Development Bank (ADB) tsunami relief conference in Manila, March 18, 2005. ADB President Haruhiko Kuroda opened the high level meeting and called for transparency and accountability in tsunami work. The Millennium Challenge Corporation has made accountability and honest governments central points in its selection criteria for aid. (ROMEO GACAD/AFP/Getty Images)*



ENTREPRENEURSHIP AND ENDEAVOR

America's Best Contribution to Sustainable Development

by Diego Panama

Having grown up in El Salvador and having focused my studies at Yale on Latin American history and economic development, it is easy to see why Latin America has been stuck in what could be called a "lost century." Ever since the natural resource boom of the early twentieth century and well before the inefficient days of import substitution industrialization, doing business in Latin America has been the exclusive purview of a select few. The lack of growth in Latin America should not be completely blamed on the high income inequality or unstable regimes and oppressive military dictators, perhaps less on the fact that we have been sacked of our wealth by imperialist superpowers. One of the main obstacles to growth in Latin America, and one of the main reasons why the aforementioned circumstances exist, is the lack of hope and innovation because of an improper framework to do business.

Since graduating last May, I have had the pleasure of working with an organization called Endeavor that aims to foster such a framework. Endeavor is a non-profit organization that supports entrepreneurs in emerging markets as a means for sustainable economic development. Its mission is to create an entrepreneurial culture in emerging markets. After eight years of operations, Endeavor has a proven model in five countries in Latin America and most recently in South Africa. Endeavor recruits the small community that runs the private sector (and usually the country) to support its mission and then selects high-growth-potential entrepreneurs that will have access to this network and other services including financing "road shows" in the U.S., mentoring partnerships, and immersion trips to meet the world's most innovative entrepreneurial figures. Endeavor helps these entrepreneurs grow their businesses and then encourages them to become leaders in their society by acting as role models to future entrepreneurs.

Why entrepreneurship? Entrepreneurship is already helping developing economies – over 90 percent of the jobs in Brazil are created by entrepreneurial ventures (most of them mom and pop shops) – yet with the proper framework and a healthy private sector the impact of innovation can be much stronger. More than simply creating jobs and bringing in direct foreign investment, inspiring entrepreneurship and innovation is crucial for an economy to reach sustainable growth. Providing the right incentives for innovation is essential, and this can only happen in an economy where doing business is efficient and a vibrant private sector exists. Respecting intellectual property and rewarding its creators provides incentives to education and spurs a cycle of productivity: More education creates more innovation, which creates more jobs and financing, which then creates growth and beats poverty, demanding more education and leading to more innovation again.

Latin America, like most emerging market economies, finds itself in a Catch-22 that it cannot escape without a little outside assistance. Entrepreneurship brings innovation, creates jobs, attracts financing, increases growth, and decreases poverty. But emerging markets are stuck because entrepreneurship cannot prosper in a corrupt and inefficient private sector and a healthy private sector cannot exist without innovative entrepreneurs to feed it. Outside intervention is needed to stop the dog from biting its tail. In a country where capital markets are not completely liquid, closing on a business is not always easy to do. When exit is not an option, financing is hard to come by, and when financing is hard to come by, growing a business is next to impossible.

Why not focus on making efficient capital markets? In order to have efficient capital markets you must be ready to protect investors. To protect investors, a certain level of disclosure is required that, because of high income inequality and uneven distribution of economic resources,

Diego Panama *works for Endeavor, a global non-profit organization that supports entrepreneurs in the developing world. He graduated from Yale in 2004.*

Changing Land: *A white South African begs for money while two blacks are passing by on a street in Johannesburg. In the new South Africa, where poverty and unemployment concern millions of people, color of skin does not play a role, unlike during the Apartheid era. Endeavor recently announced that it will expand its entrepreneurship services to South Africa in addition to its current locations in Latin America. (YOAV LEMMER/AFP/Getty Images)*

"One of the main obstacles to growth in Latin America is an improper framework to do business."

becomes a security issue for entrepreneurs, executives and investors. The fact is that this will remain a security issue as long as extreme inequality and lack of opportunity prevail, and the latter will prevail as long as doing business is impossible, and doing business will be impossible as long as capital is hard to come by for most entrepreneurs. This is an unfortunate cycle that needs to be broken by an outside catalyst.

The United States needs to take a lead in breaking this frustrating cycle. Not only is bolstering entrepreneurship a long term solution to the problem of economic development, it is a solution easily at hand. Promoting entrepreneurship will be a lot easier than resolving other critical issues for international economic development such as immigration reform or real free trade agreements. No country has better demonstrated the virtues of entrepreneurship and innovation than the United States, and exporting that model could be America's greatest contribution to international development—even more so than its foreign aid dollars, which are so often squandered by corrupt bureaucrats.

Endeavor's results at exporting the American model of entrepreneurship have so far been encouraging. We have selected 206 entrepreneurs from a pool of more than 10,000 candidates. Combined, these entrepreneurs have created over 26,000 jobs and Endeavor has helped them to tap into over USD$ 825 MM in financing. Their track record is outstanding and the model becomes complete when these entrepreneurs go out and give back to society in an effort to create an entrepreneurial culture in their countries. There are dozens of case studies being taught at the top business schools on Endeavor Entrepreneurs, thousands of press articles published in local and international media and hundreds of interviews with Endeavor Entrepreneurs have been broadcast on radio and TV shows.

Need a Lift? *In South America, a spirit of entrepreneurship is lagging because of an improper framework to do business. Endeavor entrepreneurs enter nichesand create jobs in places that need it most. (Photo by David Berv)*

Endeavor's first selected entrepreneurs, Andy Freire and Santi Bilinkis from Argentina, are true role models who have had tremendous impact in their country. Andy and Santi are co-founders of OfficeNet, a venture that sells office supplies directly to businesses. They found a niche that had not seen much innovation in Argentina, and became Endeavor

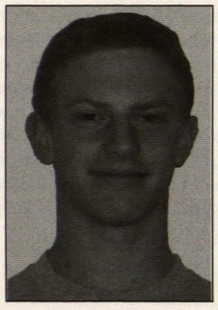
Obstacles to Development: *Vendors offer their merchandise on the streets of Ciudad del Este, Paraguay. According to the Corruption Perception Index (CPI) elaborated by Transperancy International, Paraguay is considerd the most corrupt country in Latin America. Endeavor's model circumvents corrupt governments and instead focuses on promoting a vibrant private sector. (FLORENCE PANOUSSIAN/AFP/Getty Images)*

Entrepreneurs early in their entrepreneurial career. In the early stages of the venture, Endeavor helped Andy and Santi better understand the industry by arranging meetings for them with executives at Staples and a visit to the Dell headquarters in Texas, home of the best direct sales model ever created. Endeavor paired them with mentors to help them plan and grow their business. Andy and Santi's OfficeNet became the number one business of its kind in Argentina and number two in Brazil. A few months ago, Andy and Santi sold OfficeNet to Staples. Andy is now fully engaged in his second venture, Axialent, an innovative executive consulting firm with presence all over Latin America. Having met hundreds of other entrepreneurs through Endeavor, Andy wrote the first Spanish book on entrepreneurship – now a bestseller and reaching thousands of potential entrepreneurs. Besides having provided hundreds of jobs in Argentina and Brazil, creating wealth through revenues and equity, both Andy and Santi have been incredibly active with Endeavor – sharing their story and helping the future generation of entrepreneurs.

As Endeavor Co-Founder and CEO Linda Rottenberg likes to say, entrepreneurship has the potential to be America's best export… and maybe one day, a Latin American kid will look up to an entrepreneur the way they do soccer stars now, with hope in their eyes and ambition in their minds. P

"The model becomes complete when these entrepreneurs create an entrepreneurial culture in their countries."

Ideas Anyone? *Caribbean and Latin American regional business leaders listen to the President of El Salvador, Francisco Flores. Flores called for innovative and creative ideas in order to encourage economic development in the private sector of the participating countries. Endeavor encourages development by assisting companies that have a high potential for growth and job creation in troubled areas. (ROBERTO SCHMIDT/ AFP/Getty Images)*



PROGRESSIVE THOUGHTS ON DEVELOPMENT

Trailblazing a New Path in Foreign Policy

by Ted Fertik and Melisse Morris

With Kofi Annan's call to halve extreme poverty by 2015 and eliminate it by 2025, the need for development in the third world has become the focus of heated debate as opponents question the best method to achieve the lofty goals of the U.N. Millennium Project (UNMP) – an agreement signed in 2000 by every nation in the world.

While the question of development is complex, as progressives we believe that there are principal aspects of development and models for success that can be identified and pursued as priorities in a progressive foreign policy.

The most salient aspect of development is poverty alleviation. This is a monumental undertaking, as half of the world's six billion people are poor and one billion live off less than $1 per day. As progressives we fully support the initiatives of the U.N. Millennium Project on poverty, which work mainly on the microeconomic level. But a progressive world view includes not only economic concerns, such as poverty, but social and political ones as well. Therefore development from a progressive standpoint is not only about the eradication of poverty, but about how a society transitions from poverty to stability, and the necessary political and social growth that goes hand in hand with economic growth.

In the poverty of many third world nations, the desired civil and social growth is flatly impossible. As director of UNMP and Columbia Professor Jeffrey Sachs has said, extreme poverty can be described as "the poverty that kills." Eight million people around the world die annually because they are too poor to survive. Countries plagued by this degree of destitution are not looking for democracy. They are looking for food, potable water, and farming implements that will allow them to surpass mere subsistence; they are looking for the basic necessities of life.

The purpose of the U.N.'s report is to demonstrate that the eradication of this form of poverty is possible. Poverty alleviation is not possible, however, unless developed nations take responsibility. In this increasingly globalized world, development assistance is essential to the growth of stable and democratic political institutions. Poverty is at the root of myriad forms of suffering in the world: crime, disease, famine, environmental destruction, war, religious extremism, despotism, and instability. It is therefore not only the moral calling of the developed world to address the plight of poverty in the global south, but it is also in their national interests.

From a progressive standpoint, we must analyze development in two ways: the "macro" and the "micro," or, if you will, "top-down" and "bottom-up." Traditionally the international community has focused on the macro. Organizations such as the IMF, the world's "money doctor" attempt to address structural flaws in national economies and government. They usually apply the neoliberal "Washington Consensus" method of conditioning loans on agreements by governments to liberalize trade and massively cut spending to reduce debt and inflation. The IMF pays little attention to communities. The World Bank, often viewed as more understanding of local scenarios, has also until recently focused largely on macroeconomic structural questions, such as infrastructure and mass agriculture. These aspects of development are important and cannot be written off.

Corruption and bad governance do play a role in keeping poor countries poor. Fiscal mismanagement often leads to crippling national debt that makes any progress in development a constant struggle. But aid to foreign governments cannot be written off simply because of corruption. Governments must always play a role in the development of their countries. Partly we should consider that we, especially in the United States, do not commit anywhere near the development aid we have repeatedly pledged (0.7 percent of GDP – we give 0.14 percent) and so the programs that we ask third world nations to commit to often fizzle out in the face of insufficient funds. Much of the aid we do give simply comes right back to us as debt service, because both the IMF and the World Bank are lending institutions, and therefore are no substitute for direct foreign aid. By focusing

***Ted Fertik**, a Yale freshman, is the Chair of the Security and Foreign Policy Committee of the Roosevelt Institution at Yale.*

***Melisse Morris**, a Yale junior, is a Fellow of the Security and Foreign Policy Committee of the Roosevelt Institution at Yale. The Roosevelt Institution is an undergraduate think-tank based at top universities throughout the country.*

only on macroeconomic and national governmental questions in addressing development, we are often ignoring the people we supposedly intend to benefit.

In order for the actions of national governments to have real impact, we must find ways to directly help the individuals who constitute that nation. The implementation of sustainable agriculture, basic health care, a viable public education system, and clean water in rural communities are all critical to development in the global south. Traditionally these aspects have been largely ignored by international institutions and have not been broadly addressed in a structural way, except by NGOs working with smaller budgets and less expertise. Progressives believe that these aspects – developing communities and particularly developing the ability of individuals to control their lives – are absolutely necessary if development is to be sustainable. Debt relief is critical, but debt relief does not address indigence in the way that modern farming implements do.

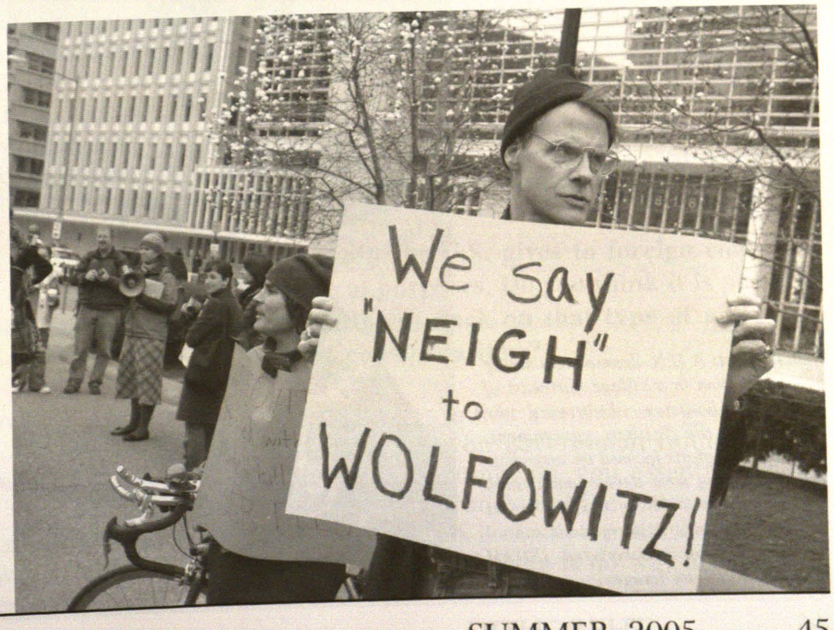
There is, however, reason to be hopeful. The World Bank has begun projects that attack poverty and promote development in the "bottom-up" fashion. For example, the Kecamatan Development Project, named for the province in Indonesia where it began, aims to direct the funds allocated by the World Bank to Indonesia in the agreement between the two toward local communities. According to the program's project appraisal, "[Part of the grant] supports investment proposals made by villages and selected by consensus in an inter-village decision meeting. [Part of the grant goes] to support the participatory planning process." The project is thus jointly promoting economic and political development in rural Indonesia from the top, and it is empowering the members of the community to make their own economic decisions from the bottom. This project naturally faces identical risks to any macro program, such as corruption and lack of accountability, but projects involving community members who will be directly impacted by its success have experienced less corruption due to the presence of personal investment and the fact that the program avoids complex bureaucratic difficulties.

The Kecamatan Development Project may be a model for development that the world should increasingly look to. The program addresses two issues at once: it promotes economic development by providing needed funds to local communities, and it also structures the aid in a way that involves the citizens in the decision-making process for the use of those funds. Citizens are receiving needed economic aid, in effect they are receiving an education in self-governance that is essential to the development of lasting democratic institutions as the country emerges from poverty.

Trade is a critical component of development, and one in which progressives sometimes find themselves on the wrong side of the debate. Trade liberalization is not an end in itself, but can be a means to development if it is carried out correctly. In the poorest of nations, the effect of tariffs is almost universally to help producers and hurt consumers. Prices of the most essential products are higher when tariffs are in place, and this hurts the poorest individuals, particularly those who own no land and therefore cannot survive off of their own yields and those who live in cities. In poverty-stricken countries, heavy industrial development, such as that experienced in other developing nations, is hardly on the table. The argument that other countries were given the opportunity to implement protective tariffs in order to grow their own industries does not seem to pass muster in our current globalized world, especially as it does nothing to help the poorest people in the short run.

At the same time, progressives are right to criticize existing trade agreements and the general American/Western European domination of the institutions of world trade. It is inexcusable for the United States to demand that foreign nations drop all tariffs

"The implementation of sustainable agriculture, basic health care, a viable public education system, and clean water in rural communities are all critical to development in the global south."



A World of Controversy: *In a March 2005 gathering at World Bank Headquarters, Eric Anderson protests against the selection of Paul Wolfowitz as the institution's next president. The controversial U.S. deputy defense secretary continued to pledge to uphold the body's "noble mission" of eradicating poverty. (LESLIE E. KOSSOFF/AFP/Getty Images)*

Challenge for a New Millennium: *Economist Jeffery Sachs delivers a March 2005 speech outlining the specific goals of the U.N. Millennium Development Project. This effort would lift hundreds of millions of people out of poverty and save tens of millions of lives. (MARIO TAMA/ Getty Images)*

"Trade is a critical component of development, and one in which progressives sometimes find themselves on the wrong side of the debate ... the effect of tariffs is almost universally to help producers and hurt consumers."

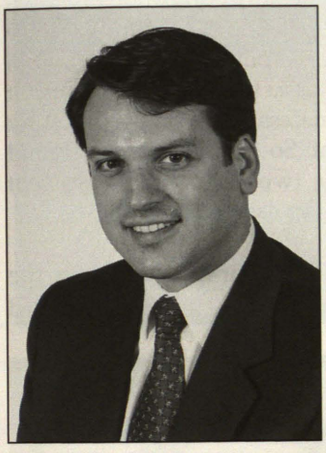
and agricultural subsidies while continuing to provide $100 billion in wasteful farm subsidies ourselves, particularly as those subsidies tend to concentrate in the hands of agribusinesses such as Archer Daniels Midland and Monsanto. The effect of U.S. subsidies is to lower the cost of American agricultural products. Coupled with reduced tariffs in third world countries, the subsidies often have the effect of flooding developing countries with cheap American grain, taking away a large part of the market for local farmers. This is not acceptable. Nor are the repeated efforts by business and government to thwart attempts at inserting environmental and labor clauses in trade agreements so that we protect our natural resources and fight against a race to the bottom.

Relief Effort: *A U.N.-donated tent serves as a classroom in a village northeast of Kabul, Afghanistan. Following the removal of the Taliban government, international efforts focused on immediate relief and long term development, such as this location where classes meets temporarily until a permanent school building nearby is completed. (SHAH MARAI/AFP/Getty Images)*

Earlier we made reference to the importance of developing civil and political institutions. Alexis de Tocqueville realized in the 1830s that the strength of the United States as an emerging nation largely resided in the preponderance of civil institutions. He famously remarked that "Americans of all ages, all stations in life, and all types of disposition are forever forming associations." And following, "The more government takes the place of associations, the more will individuals lose the idea of forming associations and need the government to come to their help." This is exactly the point – development cannot only concentrate on governments and their stability. Development must focus on cultivating individual agency – that remarkable aspect of free societies that empowers people to decide the course of their own life. Ultimately, people who possess the economic skills of self-sufficiency, as well as the political skills of self-government, will be poised to lead stable and free societies. It is not the national governments, but the people themselves who must be the ends of development.

DEVELOPING INCENTIVES

An Interview with Ian Vásquez



Ian Vásquez is the director of the Project on Global Economic Liberty at the Cato Institute. His articles have appeared in newspapers throughout the United States and Latin America, and he has been featured on numerous American and Canadian television programs as well as National Public Radio and Voice of America discussing development issues. He sat down for an interview with *The Politic* on April 14, 2005.

What is your impression of the effectiveness of the IMF and the World Bank?

Neither the IMF nor the World Bank has a role in an increasingly liberal world economy, and that has become more and more evident. The IMF was created to maintain parity in a system of exchange rates and that system ended around 1970. With it, the function of the IMF ended, but the IMF invented new roles for itself and it has been doing so ever since with every world crisis. The oil crisis, collapse of communism, the third world debt crisis, financial crises—each time the IMF has increased its resources or its influence or both and grabbed on to a new mission for itself. It has not done a particularly good job in addressing any or those issues.

The World Bank was established to rebuild Europe, but it didn't play much role in that and it quickly turned to the developing world. We have seen hundreds of billions of its dollars transferred to the developing world over 50 years, but we haven't seen a corresponding transfer in prosperity. In practice, aid from the World Bank and other aid agencies has tended to postpone necessary reforms and to harm rather than help economic development. So in an increasingly globalized world economy where there is no lack of capital, I really see no role for either agency.

Do you think they should be shut down?

Yes. They create mischief. It's something that I don't think will happen anytime soon—I'm not under any illusion about that—but that's a political issue. It's very difficult to shut down any large government bureaucracy once it has been established.

What do you mean when you say, "They create mischief?"

They do all sorts of things. The World Bank has had clients in tyrannical dictatorships that have had the worst economic policies on record. Lending to those governments has actually been responsible for perpetuating the major inefficiencies in the first place. The IMF has not performed a particularly helpful role in any of the functions that it has been involved in. It has created tremendous moral hazard in international finance through its bailouts of countries in the 1990s which has surely increased the frequency and severity of crises as we saw. At the current stage it is not clear what the role of the IMF is in international economy but to create uncertainty, and that is not good.

What is your perception of the newly-created Millennium Challenge Account?

I am skeptical about the promise of the Millennium Challenge Account because it is based on a sort of dubious rationale, that is that aid will be dispersed to countries and governments that have the right policies. It seems to me that those are precisely the countries that don't need that foreign aid. Those are the countries that are going to be rewarded with aid, and the danger is that the MCA will turn into yet another foreign aid agency that produces the wrong incentives for governments. There tends to be no reform and it creates dependency. I see really no need for the MCA, and I trust even less the tremendous judgment calls that this bureaucracy will have to make in determining which countries are deemed worthy or its support.

A lot of the aid the U.S. gives to foreign countries serves political purposes. Do you think it is possible to significantly cut back on that type of aid given geopolitical considerations?

As long as the reality is that international government organizations depend on government funds to give money mostly to governments, you essentially have dispersion of political funds and the process is mostly political. The World Bank is mostly a political agency, not an economic agency, and there is no way around that

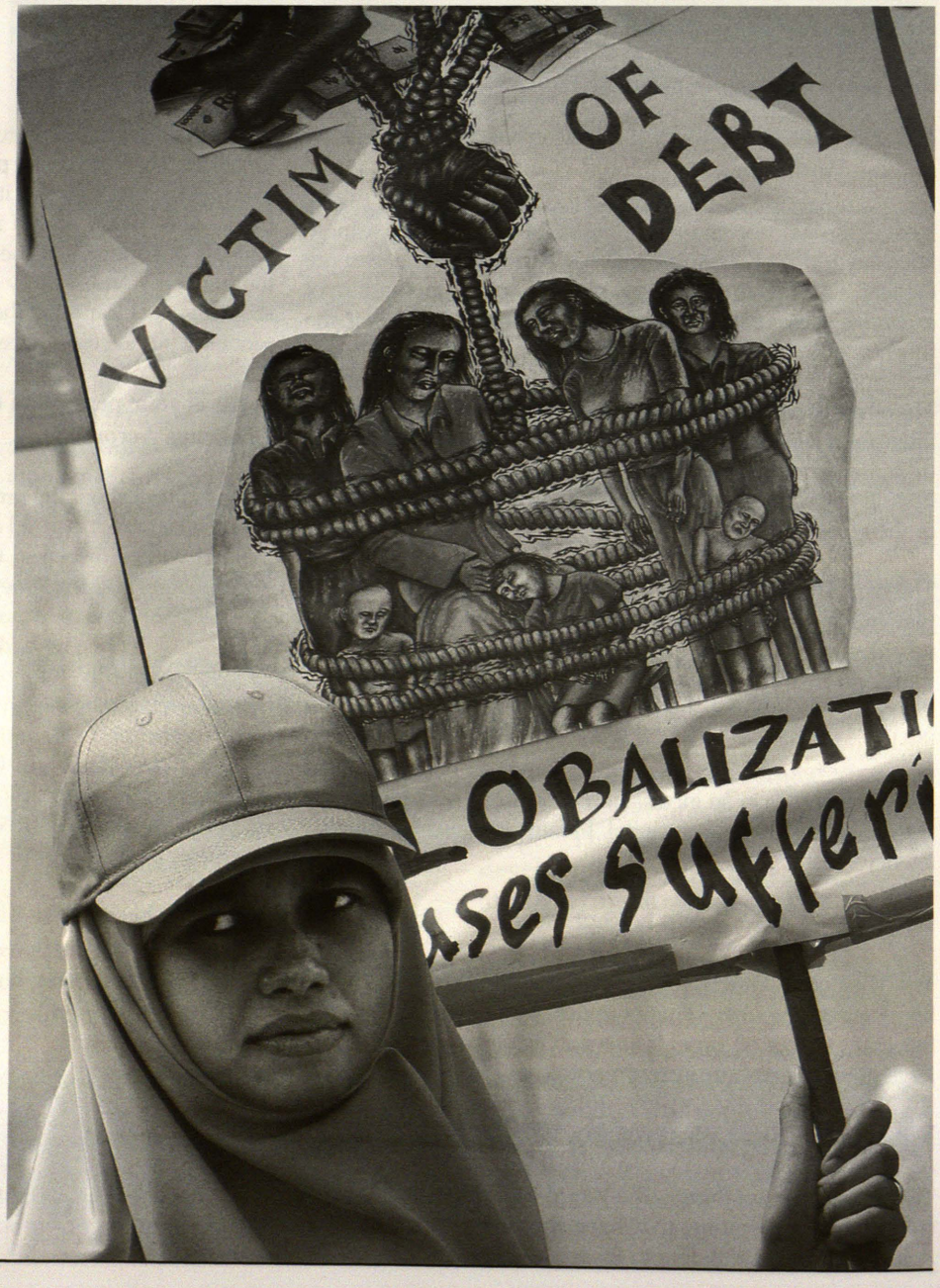
"The United States' role should be to open up its market to the world's goods, and to serve as a well-functioning market economy that is an engine for growth and a source of trade and investment."

despite all the well-meaning economists at the Bank and elsewhere. It should be no wonder that aid around the world, including at the IMF and the World Bank, is dispersed according to the political priorities of its donors. That is something that I think would be impossible to eliminate.

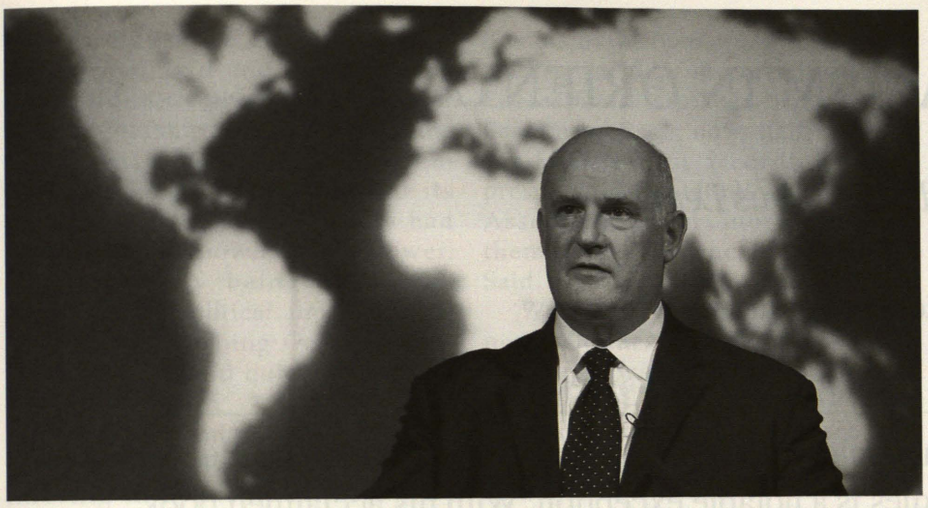
Do you see a separate role for humanitarian and economic aid?

There is a tendency in some ways of thinking about development that tries to see any improvement in the human condition as economic development, and this has now spread over into humanitarian situations. I think that's a mistake. Clearly, if a large part of a population is suffering from a disease, the country will have a hard time developing. But having a healthy population or a well-educated population does not guarantee economic development, as we've seen in cases from Russia to Cuba to Argentina. It is not even necessarily a precondition for development. So I think that we should separate the two, and sometimes that might not be an easy call.

The U.N. has declared that this is the "Year of Microcredit," and it has created



Victim of Finance: *An Indonesian woman holds a poster during an anti-World Bank protest in Jakarta. Multilateral donors including the World Bank pledged $2.8 billion in loans and grants for 2004 but urged Jakarta to curb corruption and lift other barriers to investment. The World Bank also encouraged the Indonesian government to rethink its trade policy to stay competitive in an increasingly globalized world while warning that "recent moves towards more protectionist trade policy do not support this objective." (BAY ISMOYO/AFP/Getty Images)*



Free Traders Unite: *EMI Chairman Eric Nicoli speaks at the G7 finance ministers and central bank governors' meeting in London's Queen Elizabeth II centre on February 4, 2005. Chancellor Gordon Brown called for the removal of barriers to global trade in his keynote address, noting that "We have to build a shared economic purpose." (BRUNO VINCENT/ Getty Images)*

a microfinance business competition in developing countries. Do you think this can be effective?

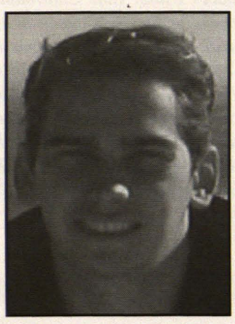
Microcredit is one of the latest foreign aid lending fads. In some cases I think it can be self-sustaining and play a positive role. When the microcredit agency is truly independent, it depends on private funds, and can generate its own revenue, then I think it is a good idea. But that will depend on specific factors and circumstances in each locality. To try to replicate the success of a few microcredit agencies all around the world regardless of all conditions by subsidizing microcredit is a mistake that suggests that this is somehow a market solution to poverty. I think it's better characterized as a more efficient form of welfare in which the poorest people get more of the aid dollars than under traditional circumstances. But we should be clear about what it is.

What do you think the role of the U.S. should be in international development?

I think that the United States' role should be to open up its market to the world's goods, to liberalize more its immigration policy, and to serve basically as a well-functioning market economy that is an engine for growth in the world economy and a source of trade and investment. I think that is the best way the United States can go, and as a government I think its role should be to promote the values of economic freedom, but to do so mostly by example. ₱

"Lending to some governments has actually been responsible for perpetuating the major inefficiencies in the first place."

Microcredit Risk: *A Bangladeshi carpenter works at his backyard shop which he opened with a loan from a microcredit project in Manikganj. Microcredit is being hailed for helping some five million Bangladeshis but critics say it fails to tackle the root causes of poverty. (FARJANA K. GODHULY/AFP/ Getty Images)*



RACISM IN ORIENTALISM

Said's Insidious Legacy

by Keith Urbahn

Few academic fields owe their current status to one book; Near Eastern Studies is a notable exception. With his acclaimed book *Orientalism*, Edward Said, a Palestinian literature scholar who dabbled – or more accurately, fully immersed himself in the politics of the Middle East, transformed a previously respectable discipline into a subtly racist and overtly political field of study. No modern scholar has monopolized a field of study as Said and later, as his followers did. And by stifling any non-Arab, "outsider" attempts at interpretation and criticism of the Middle East – in short, by masking the problems academia most needed to address – no modern scholar has had such a deleterious effect.

With the charm of his well-wrought prose, Said sweepingly condemned centuries of past scholarship on the Middle East. "Since the time of Homer," Said declared, people of the West had looked down upon the Oriental peoples to the East and used literature, art and history, in conjunction with politics, to suppress and dominate the mysterious, non-white "Other." Like their bayonets, scholarship had become a European and later an American weapon to reinforce cultural differences with the implicit purpose of imposing colonial rule on the backwards people of the Middle East. In *Orientalism* Said wrote, "Every European, in what he could say about the Orient, was a racist, an imperialist, and almost totally ethnocentric."

Said offered a new alternative to the exploitive field of Oriental Studies. It had come time for the long-brutalized Arabs to take over their own historical narrative and destiny. No longer would the Delacroixs, Voltaires, Lord Byrons and Henry Kissingers of the West (an odd grouping indeed, but one haphazardly thrown together by Said) – all of whom studied "the Orientals" – define "the Other" on their own terms. Only those who had been burdened with centuries of Arab humiliation – namely, Arabs themselves – could objectively study the region without subjugating, fetishizing and essentializing the mythic East as past Orientalists had done.

This redefinition of Near Eastern scholarship favoring Arab self-interpretation included a potent mix of politics. The 1967 war with Israel awakened many Arabs to a new self-consciousness. They identified what Said called "the Zionist invasion and colonization of Palestine" with a new, equally perfidious form of European domination. The Palestinian question was an omnipresent influence in *Orientalism*; the very book was derived "from my [Said's] awareness of being an 'Oriental'" – and more specifically, of being a Palestinian. The Said school of academics embraced politics and viewed their scholarship as a path to liberation. Only by throwing off the yoke of imperialist and racist Orientalism could Palestinians under Israeli occupation and Arabs suffering from American "neo-colonialism" fulfill their long-stifled political aspirations.

Though he would never admit it, Said had committed the same sins with which he had charged the Orientalists of yore – and considering his unremitting criticism of those very scholars, Said's repetition of the same blunders made his mistakes all the more egregious and hypocritical. He too essentialized when he characterized the entire body of Western scholarship, literature and art as self-aggrandizing "racist," "imperialist," "ethnocentric" justifications for superiority over the Eastern "Other." He too used scholarship for political purposes when he sought to oppose the "Zionist invasion and occupation."

The only difference was that, at least according to Said, the conniving Orientalists duplicitously used the study of the East to empower the West under the

Keith Urbahn *is a junior in Saybrook College majoring in Religious Studies.*

false pretenses of objectivity and disinterest; Said and his followers openly admitted the political aims of their scholarship. They tossed out the notion that good scholarship was to be divorced from politics and its polarizing effects. Orientalists had denied using knowledge as power; Said was only being honest by declaring his political aims.

After publishing *Orientalism* in 1978, Edward Said quickly became a darling within American and European academic circles. With post-modernist critiques of "truth" thriving in academe and scholars such as Michel Foucault asserting that scholarship and knowledge were inextricably linked to power, Said's leftist politics and theses about the tyranny of Orientalist scholars and the inevitable corruption of "truth" resonated with the self-questioning scholars of the era.

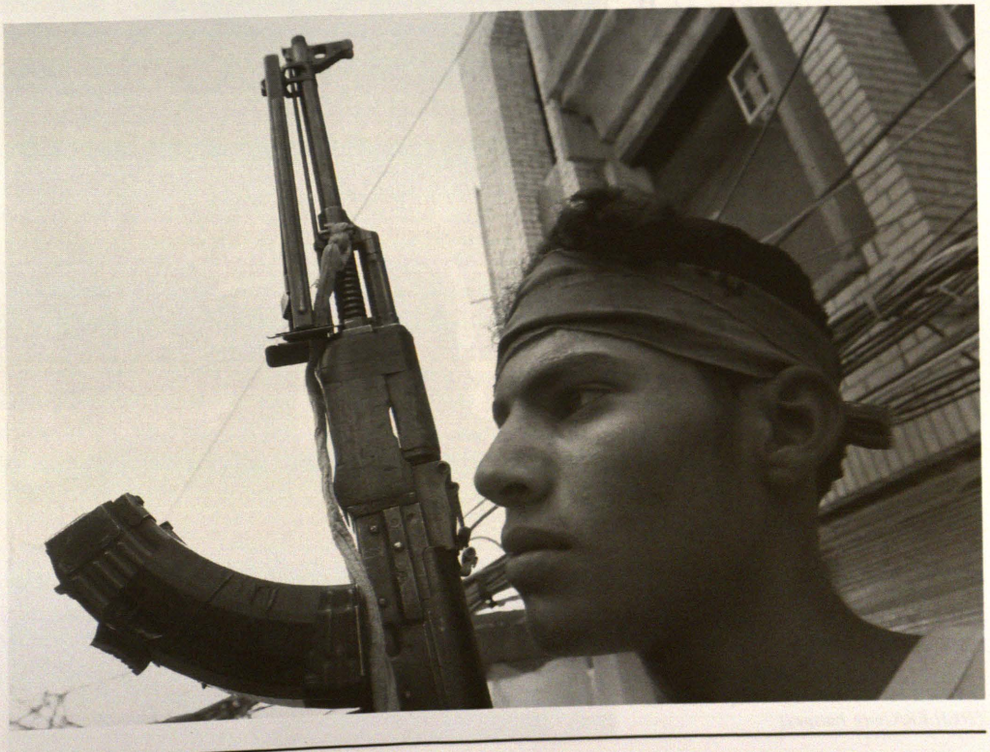
This influence on Western academia has been nothing short of disastrous. Because he had identified Orientalism with racism, "Oriental Studies" departments quickly dissolved, and being labeled an "Orientalist" became the worst of all epithets that could be hurled at aspiring scholars. Anyone who had not endured the humiliating experience of being an "Oriental" could not possibly study the "Oriental" culture without the biases of racism and superiority. In short, the Westerner could never possibly understand the complexities of the Eastern mindset.

The notion that one's ethnic background excludes him or her from studying a particular subject would rightly be deemed racist by most today, but somehow Said's pernicious identity politics escaped criticism unscathed and today dominates the field of Middle Eastern studies. In 1973, 16 percent of Near East specialists were of Middle Eastern heritage; now, half are from the Middle East according to the president of the Middle East Studies Association. Far more consider themselves influenced by Edward Said.

Worse still was that the legions of new scholars following in Said's footsteps, were, like Said himself, uncritical of Middle Eastern culture and politics. Most Saidian scholars explained away pertinent issues such as the rise of Islamic extremism and terrorism as the simple, inevitable results of American imperialism and the continued existence of misguided Orientalist interpretations. According to Said, Islamists were merely "acting the part decreed for them." With apologists such as Said in Western academia, Islamic extremists came to view *Orientalism* as a handbook in which they could turn to any page and point out examples of the very Western oppression they were fighting against.

The potential hornet's nest that is Islam went untouched. As Middle Eastern scholar Martin Kramer points out in his book *Ivory Towers on*

"Worse still was that the legions of new scholars following in Said's footsteps, were, like Said himself, uncritical of Middle Eastern culture and politics."



Fundamental Loyality: *An Iraqi Shiite militia man loyal to the radical cleric Moqtada al-Sadr stands guard in the street leading to the shrine of Imam Ali, on August 19, 2004 in Najaf, Iraq. (ABDUL-AHAD/ Getty Images)*

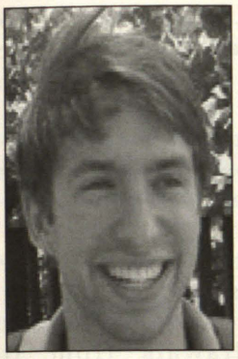
"With apologists such as Said in Western academia, Islamic extremists came to view *Orientalism* as a handbook in which they could turn to any page and point out examples of the very Western oppression they were fighting against."

Sand, Said and his followers had "a very narrow conception of the forces of change in the Middle East." Islam had no place in the leftist framework of liberation of "resistance, revolution, liberation." Any discussion of Islam is conspicuously absent from *Orientalism.* The Quran and its interpretations that bestowed legitimacy to violence were outside the realm of criticism for Saidians. By and large, these academics ignored issues such as the human rights conflicts with Islamic law and the elements of Middle Eastern culture that breed anti-Semitism, misogyny, and terrorism.

With Saidians having dominated Middle Eastern studies since *Orientalism* revolutionized the entire field in the late 1970s, perhaps it is then little surprise that September 11 caught America so unawares. In the fear of "essentializing" and "subjugating" – of being the dreaded "Orientalist" – there had been no substantive academic discussion of the causes of growing extremism. And thanks to Said's willingness to combine scholarship and politics and his shrill denunciations of those who disagreed with him as "guns-for-hire," "racists" and "imperialists," Near Eastern Studies departments have become overly politicized. Instead of productive scholarship, they are marked by vitriolic polemic and politically-motivated feuding as evidenced by Columbia's recent dispute over alleged anti-Semitism and now Yale's flurry of NELC department resignations.

Failing to understand the complexities of the Middle East and its more insidious undercurrents that burst forth on September 11 was a great failure of Western intellectuals. Those who actually had some insight into the dark underside of the Middle East, academics such as Bernard Lewis, Daniel Pipes and Martin Kramer, had long been discounted by most scholars of the Middle East and branded as "Orientalists" who woefully misdiagnosed and oversimplified the problems of Islam and Arab culture. Said's injunction against criticism of Middle Eastern culture and religion, coupled with disdain for any Westerner studying the East, blinded academia to the festering problem of Islamic extremism and a growing anti-Semitic, anti-American culture of martyrdom and jihad among disaffected youth. Edward Said and his many followers claimed an intimate knowledge and self-identification with "the Orient." Yet paradoxically, these were the academics who understood the Middle East in its entirety the least. P

Political Mardi Gras? *A man wearing a President George W. Bush mask tosses a globe in the air at the U.S. Capitol during a protest against American imperialism against Iraq. Demonstrators from around the world took to the streets on January 18, 2004 to protest against a possible U.S.-led invasion of Iraq. (MIKE THEILER/Getty Images)*



FALSE DAWNS

Why the Bush Administration is Still Wrong

by Brett Edkins

The attacks of September 11, 2001, forever changed America's view of the world. It has been a difficult road on the way to a coherent foreign policy though—from black and white ultimatums ("Either you are with us, or you are with the terrorists") to a controversial war in Iraq, only now has President Bush outlined an ideologically sound platform. In his second inaugural address, he declared it "the policy of the United States to seek and support the growth of democratic movements and institutions in every nation and culture, with the ultimate goal of ending tyranny in our world."

Embracing the liberal ideal of global freedom, this conservative president set a new course for American military power. But the so-called Bush doctrine raises critical questions for the American people and the international community: Will this policy heal the battered relationship between the United States and its allies? Can the 48 percent of Americans who voted for John Kerry rally now behind the president?

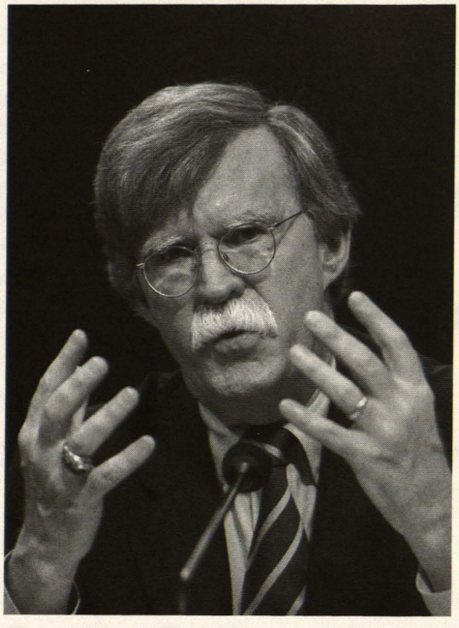
With recent events in the Middle East, the Bush doctrine appears vindicated. Popular demonstrations in Lebanon, uniting Christians, Druze, Sunnis, and even some Shias, forced Syria to address long-ignored U.N. resolutions calling for the withdrawal of its troops. In a country of only 3.5 million, almost one million people stormed Beirut in protest of Syrian occupation. The national assembly of Iraq met for the first time in mid-March, and after the death of Yasser Arafat, the PLO elected a new president yielding revitalized talks with the Israelis. Saudi Arabia held municipal elections and promised to allow women to run and vote in the next round of contests. Egypt's president of 24 years will allow opposition candidates in the next election, and growing popular protest may force even deeper electoral reform. It is no wonder that many are comparing these events to the fall of the Berlin Wall.

Indeed, the last few years have seen great progress. In addition to unprecedented free elections in Afghanistan and Iraq, Libya abandoned its programs to acquire weapons of mass destruction. Pakistan is cooperating with the United States to dismantle the nuclear smuggling network of scientist Abdul Qadeer Khan. The Ukrainian Orange Revolution challenged Kremlin-backed results in a forged election and forever changed the country's relations with the West.

But while American conservatives are trying to rally the public behind the Bush doctrine, they are ignoring key elements of its fundamental philosophy and claiming credit where it isn't due. Much of the progress in the Middle East has not, in fact, been the result of American rhetoric or resolve. It was the assassination of popular former Prime Minister Rafik Hariri that set off the Lebanese protests which temporarily unseated the Syrian backed government and revived international discussion of the Syrian occupation. Progress in Israeli-Palestinian relations is more the cause of Arafat's death and the good judgment of new PLO chairman Mahmud Abbas, than the wisdom of American policy.

The administration claims that Iraq's example has inspired the people of the Middle East to pursue democracy. I don't doubt that. The Iraqi election was a momentous and inspiring event. Yet was the Iraq war *necessary* to creating the conditions of change? Probably not. Imagine, for instance, that the U.S. had maintained its focus on Afghanistan, and truly secured the rights and liberties of its people. Could not Afghani elections and progress fit the role of inspiring-media-event now played by the Iraqi elections? Or could we have used the international consensus after September 11 to fight tyranny *with* our allies?

***Brett Edkins** is a junior in Pierson College majoring in Political Science.*



Interview Process: *John Bolton pauses during a confirmation hearing of the Senate Foreign Relations Committee on April 11, 2005. Bolton has been nominated as U.S. ambassador to the United Nations by President Bush. (BRENDAN SMIALOWSKI/ AFP/Getty Images)*

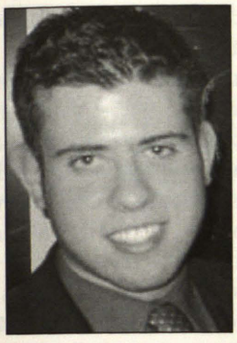
"Yet was the Iraq war *necessary* to creating the conditions of change? Probably not."

Night Watch: *An Afghan security guard patrols the area as illegal drugs are destroyed on September 23, 2004 in Kabul, Afghanistan. The drugs were seized from different provinces and include opium, heroin, hash and morphine. Afghanistan is reportedly now producing nine times more drugs than it did while under the Taliban regime. (PAULA BRONSTEIN/Getty Images)*

In principle, the Bush doctrine could unite liberals and conservatives, Democrats and Republicans. All Americans can agree with its goal of promoting democracy. But perhaps Democrats remain leery of the president's ideas because their implementation has been so consistently flawed. Our attention has shifted dramatically away from Afghanistan, where the war on terror began. Today, opium and warlords control the destiny of this nascent democracy. While we chased shadows of threats in Iraq, we neglected, and even incited, the nations of North Korea and Iran to develop nuclear weapons. And the administration continues to underestimate the importance of multilateralism. In March, Italy became the latest nation to announce troop withdrawals from Iraq. Bulgaria and Ukraine, facing domestic pressure themselves, are also pulling out. The nominations of vigorous United Nations critic John Bolton as our next U.N. ambassador and prominent neo-conservative Paul Wolfowitz as World Bank president were thoughtlessly abrasive and misguided.

If we are serious about ending tyranny in the world, we cannot simultaneously ignore other forms of oppression. The tyrannies of hunger, sickness, and civil war dictate the lives of millions. What do our ideals dictate we do in Sudan? Nor can we focus so exclusively on the Middle East at the expense of pressing challenges to freedom elsewhere. To do so would risk plunging other regions into equivalent chaos and instability.

Americans have the right ideals: democracy and justice, freedom from fear and tyranny. Since September 11, 2001, however, we have half-heartedly, and sometimes half-wittedly, put these principles into practice. Hopefully now we can promote the ends of democracy and freedom through means worthy of the United States.



WHERE'S THE OUTRAGE?

Darfur and Liberal Hypocrisy

by James Kirchick

If there is one issue that Americans of all political stripes can confidently harp on with righteous indignation, it is that of the genocide currently being waged in the Darfur region of Sudan. Invoking the moral hindsight we have gained with the genocides in Yugoslavia and Rwanda – instances in which, respectively, the West waited too long to act and did not act at all – even the most dovish of liberals are calling upon the Bush administration to act with a fervor reminiscent of the neoconservative war cry to remove Saddam Hussein. Amidst all of this liberal outrage at the Bush administration's supposed inaction, however, stands the obvious hypocrisy of those who advocate intervention in one locale to prevent humanitarian suffering, yet less than two years before took to the streets demanding that the United States sit idly by while a genocidal dictator flouted international law.

In the House of Representatives, there was perhaps no greater opponent of the Iraq war than the Congressional Black Caucus (CBC). Some of the most vocal anti-war advocates are in the Caucus' ranks, including Reps. Maxine Waters, Sheila Jackson Lee and Barbara Lee, the only member of Congress to vote against the Senate resolution that authorized President Bush to use military force against suspected perpetrators of the 9/11 attacks. The night after President Bush issued his 48-hour ultimatum to Saddam, the Caucus' Chairman, Elijah Cummings, introduced "A Statement of Principles on U.S. Military Action in Iraq" decrying the planned attack, followed by a succession of floor speeches by CBC members beseeching the President to continue diplomatic negotiations with Saddam Hussein's regime.

So it was somewhat of a surprise to witness the CBC's press conference last summer, where speaker after speaker demanded that immediate action be taken to halt the impending genocide in Darfur. "We refuse to be part of a conspiracy of silence," Cummings thundered. Members addressed the horrors that were occurring in Africa and how they, as public figures, could not remain quiet. This anger is all well and good, but where were the Congressional Black Caucus and other liberals when Saddam Hussein was gassing Kurds, torturing political prisoners, and constructing rape rooms for the benefit of his sons? If you guessed, "voting against the first Gulf War and its summation in 2003," you would be right.

Perhaps recognizing the hypocrisy of their prescriptions, the members' calls for action, in most instances, were vague. Rep. Jesse Jackson Jr. demanded that President Bush and Secretary of State Colin Powell, "immediately lead an international effort to stop the death and destruction in Darfur," without specifying how the administration should do so. Lee, who has the most to answer for when it comes to the question of using force against murderous tyrants immune to reason, had this to say: "The Bush administration must first recognize what the overwhelming evidence shows and reality is: a genocide is taking place in Darfur. Then the Administration and indeed the entire international community must commit the resources that genocide demands." Lee failed to explain if those "resources" might include American stinger missiles, Bradley fighting vehicles and marine deployments.

It took Rep. Maxine Waters, known for her candor, to express what the Caucus was effectively calling for. "What is needed," she pronounced, "is a military intervention to stop the killings…to enforce the African Union ceasefire." The desire for immediate military force was made more apparent by a June 1st letter sent to President Bush and signed by several members of the CBC stating that, "we should continue to mobilize the international community," and that the United States, "must also be prepared to act unilaterally, set an example for others, and be on the right of side of history."

Asked about how calls for armed unilateral humanitarian intervention in Sudan might not exactly square with opposition to removing, by those very same means, Saddam Hussein, a murderer of even more horrific proportions than any individual in Sudan, opponents of the Iraq War consistently say that the terms for military intervention are not the same. That is, the Bush

James Kirchick *is a junior in Pierson College and a columnist for the* Yale Daily News.

On the Offensive: *France's deputy ambassador to the United Nations, Michel Duclos, listens in the Security Council chambers at UN headquarters on March 30, 2005. The Security Council postponed a vote on a resolution sponsored by France that proposes war-crimes suspects from the Darfur region of Sudan be tried in the International Criminal Court in The Hague. (STAN HONDA/AFP/Getty Images)*

administration presented reasons for war in Iraq that were at best misleading, at worse, false. But irrespective of whether Saddam Hussein was developing weapons of mass destruction, had ties to Al Qaeda, or played a hand in the 9/11 attacks, one thing is unmistakably clear: that he was responsible for the deaths of well over 100,000 individuals, and if left in power, would no doubt kill many, many more.

Nevertheless, Rep. Donald Payne, when asked about Saddam Hussein's various genocidal campaigns, remarked, "Why in 2003 would you intervene because there was a humanitarian issue in 1980, or 1985?" When I asked Rep. Sheila Jackson Lee if her positions on Sudan and Iraq were hypocritical, she replied that the invasion of Iraq was a "pre-emptive strike." Apparently, there must be a threshold number of murders (100,000? 900,000?) that must be crossed before the United States is obligated to intervene militarily.

Following the standard multilateral line, the United States should be compelled to work through the auspices of the United Nations in all but the most immediate circumstances. That Sudan's winning an uncontested election last May to sit on the United Nations Human Rights Commission might have debilitated the integrity of the international body is an issue liberals are hesitant to confront. It is also inconsistent for liberals to warn us of the lessons learned from Rwanda while simultaneously invoking the moral authority of the U.N; it was, after all, Secretary General Kofi Annan, then Director of Peacekeeping Operations, who took every step to prohibit blue helmets from preventing that crime against humanity.

Maxine Waters, stressing how vital the American role in all of this was, mentioned that it would be difficult to obtain diplomatic and military assistance from the European Union because Europe had, "fear of losing oil contracts" with Sudan. I do not recall Waters ever criticizing France and Russia's sweetheart oil deals with Saddam.

None of this is to say that the Bush administration should continue to sit on its hands as thousands in the Sudan face murder and starvation. To continue diplomatic posturing would only give free reign to tyrants all over the world. And there is no question that Africa receives short shrift when it comes to American foreign policy; it is a negligence that has plagued both Democratic and Republican administrations. Liberal opponents of the Iraq War are correct, therefore, to express their righteous indignation at the situation in Sudan. It just would have been nice if they had shown some for the people of Iraq. P

Give Me Shelter: *Sudanese displaced women and children wait to register themselves to get aid from the World Food Program in Muza camp, on the outskirts of the southern Darfur town of Nyala, on January 4, 2005. Tens of thousands of people had been lo;;ed and around 1.6 million others have been displaced by nearly two years of clashes between opposing rebels and government troops and proxy militia in western Darfur. (JOSE CENDON/AFP/Getty Images)*

BREAK DOWN

Argentina's Default and Debt Restructuring

by Trevor Swett

"Que cocinen a la madre de Cavallo y al papá o a lo hijos, si es que tiene o a su amigo el presidente no le dejen ni los dientes." These lyrics of a song by the popular Argentine rock group Bersuit go nearly as deep in their hatred for the irresponsible political leadership that has plagued the country as the harm that these politicians have inflicted. In English, the tune goes: "May they cook the mother of Cavallo and his father and his children if he has them, and as to his friend the president, may not leave even the teeth."

Domingo Cavallo, the messianic politician to whom the song refers, made his name with the so-called "convertibility plan" of 1991 that managed to kill hyperinflation in Argentina by pegging the peso to the dollar for a decade. When he returned as finance minister in 2001, the last year of his convertibility plan, amid the boiling economic crisis that would come to a head in the end of that year, he dealt a final misguided blow to Argentina's national economy. By refusing to countenance default, a harsh impending reality that international creditors and financial organizations recognized as inevitable, Cavallo thrust Argentina deeper into a spiral of borrowing from international organizations, most notably the IMF. As *The Economist* points out, "With a weak hand, Argentina refused to fold, but kept raising the stakes. It took on a $15 billion loan from the IMF, known as the BLINDAJE or "armour," at the start of 2001 and a second $8 billion bail-out that summer." These maneuvers, and the notorious "megaswap" of near-dated bonds for longer-dated, higher-yielding ones in June 2001, were merely ways of buying more time before an inevitable collapse.

The roots of Argentine fiscal irresponsibility and dependence on foreign credit date back as far as the period of the military dictatorship of 1976 – 1983. However, the burden of foreign debt accumulated since then to overwhelming levels, and in the 1990's, it created a serious, yet undiagnosed, problem for the Argentine economy that precipitated the worst political and financial crisis in the country's history in the end of 2001. The crisis has since reduced the nation's standard of living by about two thirds, left what was once the largest middle class in Latin America impoverished, and sent the poor into utter destitution.

According to a recent article in The Economist, "Reluctant to default, Argentina has been painfully slow to restructure its debts. Its standoff with creditors has been confrontational, drawn out and poisonous. When national governments go bust, there is no impartial bankruptcy court that can resolve their differences with creditors. But in previous defaults, the IMF has served a close surrogate . . . In return for a loan, the Fund asks for a given amount of fiscal effort from its ward, which indirectly determines how much money the debtor can set aside for its creditors." Unfortunately for creditors, this measure of fiscal effort - or "political will" as it is known in IMF jargon - is notoriously vague and refers to a variable that is known only within IMF bureaucracy.[1] Outsiders of the fund are left to guess at many factors that could determine it, including a governments timing in following IMF-imposed policies, commitment to the program, or government competence, reputation, or unobserved private negotiation posture with international creditors.[2] The problem of IMF competence as a surrogate for negotiation between creditors and governments that have defaulted on loans is complicated by its lack of transparency and the additional fact that the government in question is often in debt to the Fund as well.

In December of 2001, Argentina defaulted on bonds worth more than $81 billion. Despite the gravity of the debt, the large majority of investors agreed before the deadline of February 25th, 2005 to settle for an exchange for new bonds worth about 35 cents on the dollar.[3] Argentina's president, Nestor Kirchner, has claimed that the restructuring is a triumph and that "at least 70 to 75 percent" of bondholders agreed to it, and many reports suggest the figure may be even higher.[4] The bonds represent only 55 percent of its total debt last year, however, and

***Trevor Swett** is a sophomore in Saybrook College.*

"Simply tracking the index of emerging debt encourages investment in the sovereign debts of governments that issue large amounts of debt, creating speculation that is not based on actual economic conditions, but all too often on unreliable reports from the country and overly optimistic 'bubble' forecasts from Wall Street."

the national debt remains at more than $120 billion, including $13.8 billion to the IMF and another $15 billion to multilateral organizations including the World Bank.[5] Luckily for Argentina, and unfortunately for its creditors, the settlement on the bonds represents an unprecedented write-off of national debt.

In a new book, Paul Blustein, a journalist at the Washington Post, addresses the complex issues behind Argentine's growing debt in the 1990's and the crisis it caused at the end of the decade. *And the Money Kept Rolling In (And Out): Wall Street, the IMF and the Bankrupting of Argentina* will surely become essential reading for both policy leaders and investors alike. Ironically, despite the gravity of the Argentine crisis and the critical policy implications it should have for bond investors in emerging markets, the creditors themselves have been slow to heed its call. Part of this is due to the unyielding bullish mood of international securities markets. Others have argued that often a bizarre quirk of the index-tracking of emerging debt creates a perverse incentive for investors.[6] Simply tracking the index of emerging debt encourages investment in the sovereign debts of governments that issue large amounts of debt, creating speculation that is not based on actual economic conditions, but all too often on unreliable reports from the country and overly optimistic "bubble" forecasts from Wall Street. Alan Beattie notes in his recent article in The Financial Times the deceitful behavior of Wall Street lenders exacerbated the crisis: "In a similar fashion to the hypocrisy during the dotcom bubble, the same banks that profited from conducting Argentina's doomed debt operations were consistently too optimistic about the country's ability to turn itself round."[7] This system's tendency to nurture denial by both lenders and debtors caused one expert to liken it to "an AA programme that rewards heavy drinkers by giving them more booze."[8]

Unfortunately, the bursting of Argentina's bubble after years of indulging its addiction to foreign lending does not seem to have deterred foreign investors from such irresponsible lending in emerging markets. One reason for this is the lack of regulatory control: there is no international governing body or law that determines relations between creditors and sovereign debtors. This fact certainly worked to Argentina's advantage in the short term during the default, allowing them to successfully

Rage Against the Machine: *A demonstrator writes "Rato, Get Out of Argentina" on the Economy Ministry's front in Buenos Aires on August 31, 2004. This message was an allusion to the International Monetary Fund (IMF) managing director, Rodrigo Rato, who at the time was holding a meeting with the minister of Economy, Roberto Lavagna. It has been estimated that IMF mistakes, highlighted in an audit by an IMF watchdog, had pushed about 15 million people into poverty in the South American nation. (ALI BURAFI/AFP/Getty Images)*

write off an unprecedented amount of debt. However, the lack of international regulation and more responsible investing in emerging markets has allowed Argentina to cripple itself indefinitely. Blustein's book confirms, in the words of Beattie that "the capital markets gave Argentina a lot of rope with which to hang itself."[9] A report by Jubilee Research at the New Economics Foundation in London claims that this absence of control benefits creditors by absolving them of "the risk of legal or financial penalties for reckless, corrupt, or illegitimate lending to sovereign debtors. Perversely, one loan creating damage usually leads to another loan to repair the damage; which in turn leads to increased income streams."[10] Another reason while foreign investors have failed to learn from Argentina's example is the enticing high yields that security investments in emerging markets earn, corresponding to their high risk. Some of the most pathetic examples involve relative laymen who entered the market without fully understanding this concept of risk—thousands of Italian and German pensioners in Argentina's case, who now hold bonds for which the Republic of Argentina has agreed to pay about 35 cents on the dollar. Yet despite such sob stories, the flow of foreign capital into emerging markets proceeds at a giddily bullish pace.

While foreign capital investors possess an upper hand in international markets and have been slow to assimilate the lessons of Argentina's massive default, many developing nations have begun to appreciate the implications for their economic policy. As a result of the grave consequences of Argentina's default, debtor governments have begun to see default as an actual possibility and are starting to insure themselves against fluctuations in the international securities market by building up their foreign reserves. As an Economist article puts it, "With these war chests at their disposal, countries can insure themselves against the sudden reversals of market sentiment to which they are still vulnerable." Will these policies alone be enough to protect countries against the changing flow of international capital that has prolonged a cycle of boom and bust in their national economies? It is at least a step in the right direction, a rejection of the illusion that allowed Argentina to see itself as delivered from the echelons of the developing world, buoyed by a sea of foreign credit in which it would eventually drown.

Man of the People: *Argentinian President Nestor Kirchner gives a speech after signing several agreements about energy and stockbreedings with his Venezuelan counterpart, Hugo Chavez, at the Government Palace in Buenos Aires. (ALI BURAFI/AFP/Getty Images)*

"As a result of the grave consequences of Argentina's default, debtor governments have begun to see default as an actual possibility and are starting to insure themselves against fluctuations in the international securities market by building up their foreign reserves."

Notes:

[1] Vreeland, James Raymond. The IMF and Economic Development (2003)

[2] Vreeland, James Raymond. The IMF and Economic Development (2003)

[3] *The Economist*

[4] *The Economist*

[5] *The Economist*

[6] Beattie, Alan. Financial Times. "The debt crisis that has taught lenders nothing." February 16, 2005.

[7] Beattie, Alan. *Financial Times*. "The debt crisis that has taught lenders nothing." February 16, 2005.

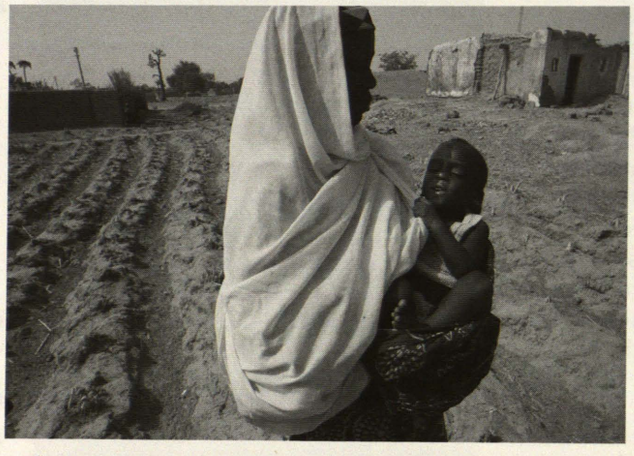
[8] Beattie, Alan. *Financial Times*. "The debt crisis that has taught lenders nothing." February 16, 2005.

[9] Beattie, Alan. *Financial Times*. "The debt crisis that has taught lenders nothing." February 16, 2005.

[10] "It takes two to tango: creditor co-responsibility for Argentina's crisis- and the need for independent resolution." A Jubilee Plus report by Ann Pettifor, Liana Cisneros, and Alejando Olmos Gaona. September 2001.

DEVELOPING THE FUTURE

A Plan to Fight Global Poverty at the Source



Examining the income disparity between the developed world and the developing world is among the most frustrating pastimes for inquisitive university students. Look around New Haven: How can even the most impoverished Americans have so much more than the millions who die each year across the globe for want of adequate food and shelter? Since the end of World War II, the international community has attempted – with mixed results – to aid the economic development of the poorest nations. Though success stories exist, they are far outnumbered by the cases in which economists just can't seem to produce encouraging results.

Our quest to improve the living conditions for the bottom half is made maddening by the fact that no single formula exists to create a quick fix. We search for patterns between seemingly similar underdeveloped nations only to find that their idiosyncratic political, cultural, and social systems demand idiosyncratic aid policies. Why has South Korea soared while Bangladesh has floundered? How can the lessons of Chile be applied to Sub-Saharan Africa?

The spectacular wealth of the developed world has the power to transform weak states – if it is used wisely. The naïve aid packages of the past, however, must be revised if we are to get funds to the people who need them most. Instead of lining the pockets of corrupt intermediaries – the warlords, dictators, and strongmen who claim to represent their impoverished masses on the world stage – aid should be applied directly to local communities. The aid supply chain cannot be half-constructed, relying on the faulty governments of weak states for distribution. In this respect, many NGOs have the correct approach, putting workers or volunteers on the ground to circumvent the dirty hands of statesman-turned-thieves.

Of course, we must also take into account the perverse incentives provided by foreign aid. When funds for development are available from overseas, the governments of weak states are discouraged from raising such funds themselves. Rather than build an efficient and effective state apparatus for the collection of tax revenue and the administration of government services, regimes rely on the reliable – and easily obtainable – flows of development aid that "progressive" Western nations are only too happy to supply.

Because a tax base is no longer required to run their governments under these conditions, weak state leaders are able to continue to engage in the self-destructive policies that perpetuate state weakness. Thanks in part to generous international bailouts over the past decade, for example, the Kremlin has not been forced to truly develop a transparent means by which to extract revenue from its own population, and thus has had little stake in the economic success of the Russian people. Furthermore, post-Communist Russian central leadership has had no incentive to penetrate society and break the control of local strongmen in the creation of a unified, stable Russian state. Thus, while development aid will certainly achieve short-term goals, we must look at larger issues if we are to make long-term headway.

Aiming at the root of global poverty will be difficult; results will not be as immediately apparent as they are with a monetary aid "Band-Aid." Nonetheless, it is policy reform – not merely aid – that will spur growth in the Third World. First of all, institutional development must precede economic development. Corrupt political-economic systems without the rule of law, accountable government administration, and property rights will be unable to sustain any meaningful development even if it is initially supported by foreign aid. This institutionalization must be followed by the creation of a tax base and the means by which to collect perpetual tax revenues. Taxes will be necessary for states to pay for their *own* poverty-fighting programs, which will in turn engender trust between ruler and ruled that is so often absent today.

While there is disagreement regarding the path from here, our New Vision for the future of development must focus on building a framework for self-help. The war on world poverty will be the challenge of the 21st century, a challenge that we must meet with vigor and relentless courage. Yet accepting the conscience-clearing ease of monetary aid must not fool us; it is not a magical silver bullet but a temporary fix. If we are to dedicate our resources to developing the Third World, we must make the decision to fight for the long-haul: constructing institutions to consolidate strong states will do more to eradicate poverty over the next few decades than any amount of foreign aid could hope to achieve.

Jason Davis, Editor-in-Chief

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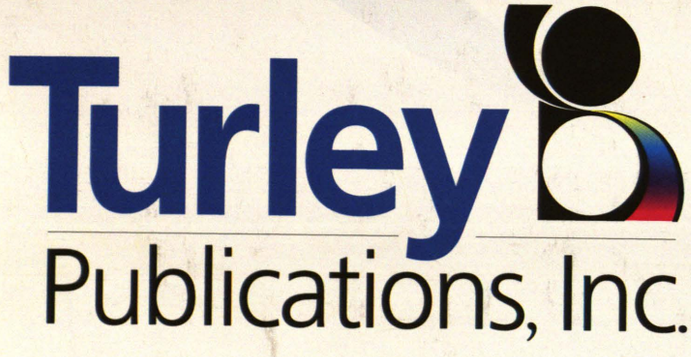

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